

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549
FORM 10-Q

(Mark One)

- ☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**
For the quarterly period ended June 30, 2025
- OR
- ☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**
For the transition period from to .

Commission file number 001-40289

Coinbase Global, Inc.

(Exact name of registrant as specified in its charter)

Delaware

(State or other jurisdiction of incorporation or organization)

**One Madison Avenue
Suite 2400
New York, NY**

(Address of Principal Executive Offices)¹

46-4707224

(I.R.S. Employer Identification No.)

10010

(Zip Code)¹

Not Applicable

Registrant's telephone number, including area code¹

Not Applicable

(Former name, former address and former fiscal year, if changed since last report)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Class A common stock, \$0.00001 par value per share	COIN	The Nasdaq Stock Market LLC

Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports); and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company" and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer

☒

Accelerated filer

☐

Non-accelerated filer

☐

Smaller reporting company

☐

Emerging growth company

☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Act). Yes ☐ No ☒

As of July 24, 2025, the number of shares of the registrant's Class A common stock outstanding was 215,159,125 and the number of shares of the registrant's Class B common stock outstanding was 41,779,032.

¹ We are a remote-first company. Accordingly, we do not maintain a headquarters. We are including this address solely for the purpose of satisfying the Securities and Exchange Commission's request. Stockholder communications may also be sent to the email address: secretary@coinbase.com.

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SPECIAL NOTE ABOUT FORWARD-LOOKING STATEMENTS

This Quarterly Report on Form 10-Q contains forward-looking statements. All statements contained in this Quarterly Report on Form 10-Q other than statements of historical fact, including statements regarding our future operating results and financial position, our business strategy and plans, market growth, and our objectives for future operations, are forward-looking statements. In some cases, forward-looking statements may be identified by words such as "believe," "may," "will," "estimate," "potential," "continue," "anticipate," "intend," "expect," "could," "would," "project," "plan," "target," or the negative of these terms or other similar expressions.

Forward-looking statements contained in this Quarterly Report on Form 10-Q include, but are not limited to, statements about:

- our future financial performance, including our expectations regarding our net revenue, operating expenses, and our ability to achieve and maintain future profitability;
- our business plan and our ability to effectively manage any growth;
- anticipated trends, growth rates, and challenges in our business, the cryptoeconomy, the price, and market capitalization of crypto assets and in the markets in which we operate;
- market acceptance of our products and services;
- beliefs and objectives for future operations;
- our ability to maintain, expand, and further penetrate our existing customer base;
- our ability to develop new products and services and grow our business in response to changing technologies, customer demand, and competitive pressures;
- our expectations concerning relationships with third parties;
- our ability to maintain, protect, and enhance our intellectual property;
- our ability to continue to expand internationally;
- the effects of increased competition in our markets and our ability to compete effectively;
- future acquisitions of or investments in complementary companies, products, services, or technologies and our ability to successfully integrate such companies or assets;
- our ability to stay in compliance with laws and regulations that currently apply or become applicable to our business both in the United States and internationally given the highly evolving and uncertain regulatory landscape;
- general macroeconomic conditions, including interest rates, inflation, changes in tariffs and trade restrictions, instability in the global banking system, economic downturns, and other global events, including regional wars and conflicts and government shutdowns;
- economic and industry trends, projected growth, or trend analysis;
- trends in revenue;
- trends in operating expenses, including technology and development expenses, sales and marketing expenses, and general and administrative expenses, as well as certain variable expenses, and expectations regarding these expenses as a percentage of revenue;
- our key business metrics used to evaluate our business, measure our performance, identify trends affecting our business, and make strategic decisions;
- the expected timing of the closing of our acquisition of Sentillia B.V.;
- our plans with respect to the Share Repurchase Program; and
- other statements regarding our future operations, financial condition, and prospects and business strategies.

We caution you that the foregoing list may not contain all of the forward-looking statements made in this Quarterly Report on Form 10-Q.

You should not rely upon forward-looking statements as predictions of future events. We have based the forward-looking statements contained in this Quarterly Report on Form 10-Q on our current expectations and projections about future events and trends that we believe may affect our business, financial condition, results of operations, and prospects. The outcome of the events described in these forward-looking statements is subject to risks, uncertainties, and other factors, including those described in the section titled “*Risk Factors*” in Part II, Item 1A of this Quarterly Report on Form 10-Q and elsewhere in this Quarterly Report on Form 10-Q. Moreover, we operate in a very competitive and rapidly changing environment. New risks and uncertainties emerge from time to time and it is not possible for us to predict all risks and uncertainties that could have an impact on any forward-looking statements contained in this Quarterly Report on Form 10-Q. We cannot assure you that the results, events, and circumstances reflected in the forward-looking statements will be achieved or occur, and actual results, events, or circumstances could differ materially from those described in such forward-looking statements.

Neither we nor any other person assume responsibility for the accuracy and completeness of any of these forward-looking statements. Moreover, the forward-looking statements made in this Quarterly Report on Form 10-Q relate only to events as of the date on which the statements are made. We undertake no obligation to update any forward-looking statements made in this Quarterly Report on Form 10-Q to reflect events or circumstances after the date of this Quarterly Report on Form 10-Q or to reflect new information or the occurrence of unanticipated events, except as required by law. We may not actually achieve the plans, intentions or expectations disclosed in our forward-looking statements and you should not place undue reliance on our forward-looking statements. Our forward-looking statements do not reflect the potential impact of any future acquisitions, mergers, dispositions, restructurings, joint ventures, partnerships, or investments we may make.

In addition, statements that “we believe” and similar statements reflect our beliefs and opinions on the relevant subject. These statements are based upon information available to us as of the date of this Quarterly Report on Form 10-Q, and while we believe such information forms a reasonable basis for such statements, such information may be limited or incomplete, and our statements should not be read to indicate that we have conducted an exhaustive inquiry into, or review of, all potentially available relevant information. These statements are inherently uncertain, and investors are cautioned not to unduly rely upon these statements.

RISK FACTORS SUMMARY

Consistent with the foregoing, our business is subject to a number of risks and uncertainties, including those risks discussed at length below. These risks include, among others, the following, which we consider our most material risks:

- Our operating results have and will significantly fluctuate, including due to the highly volatile nature of crypto;
- Our total revenue is substantially dependent on the prices of crypto assets and volume of transactions conducted on our platform. If such price or volume declines, our business, operating results, and financial condition would be adversely affected and the price of our Class A common stock could decline;
- Our net revenue may be concentrated in a limited number of areas. Within transaction revenue and subscription and services revenue, a meaningful concentration is from transactions in Bitcoin and Ethereum and stablecoin revenue in connection with USDC, respectively. If revenue from these areas declines and is not replaced by new demand for crypto assets or other products and services, our business, operating results, and financial condition could be adversely affected;
- We have in the past, and may in the future, enter into partnerships, collaborations, joint ventures, or strategic alliances with third parties. If we are unsuccessful in establishing or maintaining strategic relationships with these third parties or if these third parties fail to deliver certain operational services, our business, operating results, and financial condition could be adversely affected;
- Interest rate fluctuations could negatively impact us;

- Adverse economic conditions could adversely affect our business;
- The future development and growth of crypto is subject to a variety of factors that are difficult to predict and evaluate. If crypto does not grow as we expect, our business, operating results, and financial condition could be adversely affected;
- Cyberattacks and security breaches of our platform, or those impacting our customers or third parties, could adversely affect our brand, reputation, business, operating results, and financial condition;
- We are subject to an extensive, highly-evolving and uncertain regulatory landscape and any adverse changes to, or our failure to comply with, any laws and regulations could adversely affect our brand, reputation, business, operating results, and financial condition;
- We operate in a highly competitive industry and we compete against unregulated or less regulated companies and companies with greater financial and other resources, and our business, operating results, and financial condition could be adversely affected if we are unable to compete effectively;
- We compete against a growing number of decentralized and noncustodial platforms and our business, operating results, and financial condition could be adversely affected if we fail to compete effectively;
- As we continue to expand and localize our international activities, our obligations to comply with the laws, rules, regulations, and policies of a variety of jurisdictions will increase and we may be subject to inquiries, investigations, and enforcement actions by U.S. and non-U.S. regulators and governmental authorities, including those related to sanctions, export control, and anti-money laundering;
- We are, and may continue to be, subject to litigation, including individual and class action lawsuits, as well as investigations and enforcement actions by regulators and governmental authorities. These matters are often expensive and time consuming, and, if resolved adversely, could adversely affect our business, operating results, and financial condition;
- If we cannot keep pace with rapid industry changes to provide new and innovative products and services, the use of our products and services, and consequently our net revenue, could decline, which could adversely affect our business, operating results, and financial condition;
- A particular crypto asset, product or service's status as a "security" in any relevant jurisdiction is subject to a high degree of uncertainty and if we are unable to properly characterize a crypto asset or product offering, we may be subject to regulatory scrutiny, inquiries, investigations, fines, and other penalties, which could adversely affect our business, operating results, and financial condition;
- We currently rely on third-party service providers for certain aspects of our operations, and any interruptions in services provided by these third parties may impair our ability to support our customers;
- Loss of a critical financial institution or insurance relationship could adversely affect our business, operating results, and financial condition;
- Any significant disruption in our products and services, in our information technology systems, or in any of the blockchain networks we support, could result in a loss of customers or funds and adversely affect our brand, reputation, business, operating results, and financial condition;
- Our failure to securely store and manage our and our customers' fiat currencies and crypto assets could adversely affect our business, operating results, and financial condition; and
- The theft, loss, or destruction of private keys required to access any crypto assets held in custody for our own account or for our customers may be irreversible. If we are unable to access our private keys or if we experience a hack or other data loss relating to our ability to access any crypto assets, it could cause regulatory scrutiny, reputational harm, and other losses.

PART I. FINANCIAL INFORMATION

ITEM 1. FINANCIAL STATEMENTS

Coinbase Global, Inc. Condensed Consolidated Balance Sheets (In thousands, except per share data) (unaudited)

	June 30, 2025	December 31, 2024
Assets		
Current assets:		
Cash and cash equivalents	\$ 7,539,388	\$ 8,543,903
Restricted cash and cash equivalents	69,190	38,519
USDC	2,153,824	1,241,808
Customer custodial funds	5,121,640	6,158,949
Crypto assets held for operations	125,974	82,781
Loan receivables	803,366	475,370
Crypto assets held as collateral	951,272	767,484
Crypto assets borrowed	223,620	261,052
Accounts receivable, net	222,996	265,251
Other current assets	279,230	277,536
Total current assets	17,490,500	18,112,653
Crypto assets held for investment	1,838,887	1,552,995
Strategic investments	1,933,843	374,161
Deferred tax assets	541,354	941,298
Goodwill	1,153,621	1,139,670
Other non-current assets	517,833	421,174
Total assets	\$ 23,476,038	\$ 22,541,951
Liabilities and Stockholders' Equity		
Current liabilities:		
Customer custodial fund liabilities	\$ 5,121,640	\$ 6,158,949
Current portion of long-term debt	1,266,577	—
Crypto asset borrowings	268,550	300,110
Obligation to return collateral	972,661	792,125
Accrued expenses and other current liabilities	601,354	690,136
Total current liabilities	8,230,782	7,941,320
Long-term debt	2,973,545	4,234,081
Other non-current liabilities	176,822	89,708
Total liabilities	11,381,149	12,265,109
Commitments and contingencies (Note 16)		
Stockholders' equity:		
Preferred stock, \$0.00001 par value; 500,000 shares authorized and zero shares issued and outstanding at each of June 30, 2025 and December 31, 2024	—	—
Class A common stock, \$0.00001 par value; 10,000,000 shares authorized at June 30, 2025 and December 31, 2024; 213,840 and 209,762 shares issued and outstanding at June 30, 2025 and December 31, 2024, respectively	2	2
Class B common stock, \$0.00001 par value; 500,000 shares authorized at June 30, 2025 and December 31, 2024; 42,593 and 43,878 shares issued and outstanding at June 30, 2025 and December 31, 2024, respectively	—	—
Additional paid-in capital	5,639,538	5,365,990
Accumulated other comprehensive loss	(60)	(50,051)
Retained earnings	6,455,409	4,960,901
Total stockholders' equity	12,094,889	10,276,842
Total liabilities and stockholders' equity	\$ 23,476,038	\$ 22,541,951

The accompanying notes are an integral part of these Condensed Consolidated Financial Statements.

Coinbase Global, Inc.
Condensed Consolidated Statements of Operations
(In thousands, except per share data)
(unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Revenue:				
Net revenue	\$ 1,420,096	\$ 1,379,942	\$ 3,380,415	\$ 2,967,619
Other revenue	77,112	69,686	151,088	119,579
Total revenue	1,497,208	1,449,628	3,531,503	3,087,198
Operating expenses:				
Transaction expense	245,261	191,477	548,287	408,884
Technology and development	387,322	364,258	742,690	722,121
Sales and marketing	236,245	165,262	483,528	263,847
General and administrative	353,707	320,115	748,053	607,351
(Gains) losses on crypto assets held for operations, net	(8,702)	31,016	25,663	(55,342)
Other operating expense, net	308,025	34,383	302,126	36,759
Total operating expenses	1,521,858	1,106,511	2,850,347	1,983,620
Operating (loss) income	(24,650)	343,117	681,156	1,103,578
Interest expense	20,535	20,507	41,046	39,578
(Gains) losses on crypto assets held for investment, net	(362,053)	319,020	234,598	(331,409)
Other (income) expense, net	(1,506,905)	63,827	(1,500,717)	18,222
Income (loss) before income taxes	1,823,773	(60,237)	1,906,229	1,377,187
Provision for (benefit from) income taxes	394,873	(96,387)	411,721	164,792
Net income	\$ 1,428,900	\$ 36,150	\$ 1,494,508	\$ 1,212,395
Net income attributable to common stockholders:				
Basic	\$ 1,428,900	\$ 36,127	\$ 1,494,508	\$ 1,211,611
Diluted	\$ 1,432,511	\$ 36,128	\$ 1,501,717	\$ 1,217,829
Net income per share:				
Basic	\$ 5.60	\$ 0.15	\$ 5.87	\$ 4.95
Diluted	\$ 5.14	\$ 0.14	\$ 5.39	\$ 4.49
Weighted-average shares of common stock used to compute net income per share:				
Basic	255,188	246,298	254,537	244,546
Diluted	278,913	266,831	278,700	271,003

The accompanying notes are an integral part of these Condensed Consolidated Financial Statements.

Coinbase Global, Inc.
Condensed Consolidated Statements of Comprehensive Income
(In thousands)
(unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Net income	\$ 1,428,900	\$ 36,150	\$ 1,494,508	\$ 1,212,395
Other comprehensive income (loss):				
Translation adjustment	41,992	(2,785)	50,010	(9,683)
Income tax effect	40	10	(19)	(318)
Translation adjustment, net of tax	42,032	(2,775)	49,991	(10,001)
Comprehensive income	<u>\$ 1,470,932</u>	<u>\$ 33,375</u>	<u>\$ 1,544,499</u>	<u>\$ 1,202,394</u>

The accompanying notes are an integral part of these Condensed Consolidated Financial Statements.

Coinbase Global, Inc.
Condensed Consolidated Statements of Changes in Stockholders' Equity
(In thousands)
(unaudited)

	Common Stock		Additional Paid-In Capital	Accumulated Other Comprehensive Loss	Retained Earnings	Total
	Shares	Amount				
Balance at April 1, 2025	254,590	\$ 2	\$ 5,483,821	\$ (42,092)	\$ 5,026,509	\$ 10,468,240
Common stock issued in connection with equity awards	2,226	—	48,615	—	—	48,615
Common stock withheld for net share settlement of equity awards	(383)	—	(101,078)	—	—	(101,078)
Stock-based compensation (inclusive of capitalized stock-based compensation)	—	—	208,180	—	—	208,180
Other comprehensive income	—	—	—	42,032	—	42,032
Net income	—	—	—	—	1,428,900	1,428,900
Balance at June 30, 2025	<u>256,433</u>	<u>\$ 2</u>	<u>\$ 5,639,538</u>	<u>\$ (60)</u>	<u>\$ 6,455,409</u>	<u>\$ 12,094,889</u>
Balance at April 1, 2024	245,371	\$ 2	\$ 4,550,408	\$ (37,496)	\$ 3,558,080	\$ 8,070,994
Common stock issued in connection with equity awards, net of stock options repurchases	2,966	—	36,031	—	—	36,031
Stock-based compensation (inclusive of capitalized stock-based compensation)	—	—	230,369	—	—	230,369
Other comprehensive loss	—	—	—	(2,775)	—	(2,775)
Net income	—	—	—	—	36,150	36,150
Balance at June 30, 2024	<u>248,337</u>	<u>\$ 2</u>	<u>\$ 4,816,808</u>	<u>\$ (40,271)</u>	<u>\$ 3,594,230</u>	<u>\$ 8,370,769</u>

The accompanying notes are an integral part of these Condensed Consolidated Financial Statements.

Coinbase Global, Inc.
Condensed Consolidated Statements of Changes in Stockholders' Equity
(In thousands)
(unaudited)

	Common Stock		Additional Paid-In Capital	Accumulated Other Comprehensive Loss	Retained Earnings	Total
	Shares	Amount				
Balance at January 1, 2025	253,640	\$ 2	\$ 5,365,990	\$ (50,051)	\$ 4,960,901	\$ 10,276,842
Common stock issued in connection with equity awards	3,564	—	59,455	—	—	59,455
Common stock withheld for net share settlement of equity awards	(771)	—	(201,381)	—	—	(201,381)
Stock-based compensation (inclusive of capitalized stock-based compensation)	—	—	415,474	—	—	415,474
Other comprehensive income	—	—	—	49,991	—	49,991
Net income	—	—	—	—	1,494,508	1,494,508
Balance at June 30, 2025	<u>256,433</u>	<u>\$ 2</u>	<u>\$ 5,639,538</u>	<u>\$ (60)</u>	<u>\$ 6,455,409</u>	<u>\$ 12,094,889</u>
Balance at January 1, 2024	242,048	\$ 2	\$ 4,491,571	\$ (30,270)	\$ 1,820,346	\$ 6,281,649
Cumulative-effect adjustment due to the adoption of Accounting Standards Update ("ASU") 2023-08, net of tax	—	—	—	—	561,489	561,489
Common stock issued in connection with equity awards, net of stock options repurchases	6,951	—	80,634	—	—	80,634
Common stock withheld for net share settlement of equity awards	(662)	—	(117,225)	—	—	(117,225)
Stock-based compensation (inclusive of capitalized stock-based compensation)	—	—	465,938	—	—	465,938
Purchases of capped calls	—	—	(104,110)	—	—	(104,110)
Other comprehensive loss	—	—	—	(10,001)	—	(10,001)
Net income	—	—	—	—	1,212,395	1,212,395
Balance at June 30, 2024	<u>248,337</u>	<u>\$ 2</u>	<u>\$ 4,816,808</u>	<u>\$ (40,271)</u>	<u>\$ 3,594,230</u>	<u>\$ 8,370,769</u>

The accompanying notes are an integral part of these Condensed Consolidated Financial Statements.

Coinbase Global, Inc.
Condensed Consolidated Statements of Cash Flows
(In thousands)
(unaudited)

	Six Months Ended June 30,	
	2025	2024
Cash flows from operating activities		
Net income	\$ 1,494,508	\$ 1,212,395
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	67,234	63,828
Stock-based compensation expense	386,889	442,438
Deferred income taxes	399,971	83,961
Losses (gains) on crypto assets held for operations, net	25,663	(55,342)
Losses (gains) on crypto assets held for investment, net	234,598	(331,409)
(Gains) losses on strategic investments, net	(1,475,448)	14,663
Other operating activities, net	48,582	32,782
Net changes in operating assets and liabilities	(1,036,250)	(567,634)
Net cash provided by operating activities	145,747	895,682
Cash flows from investing activities		
Fiat loans originated	(955,488)	(808,334)
Proceeds from repayment of fiat loans	588,004	646,700
Purchases of crypto assets held for investment	(458,728)	—
Dispositions of crypto assets held for investment	62,443	52,425
Other investing activities, net	(153,040)	(35,083)
Net cash used in investing activities	(916,809)	(144,292)
Cash flows from financing activities		
Customer custodial fund liabilities	(1,140,867)	(357,657)
Fiat received as collateral	370,553	493,499
Fiat received as collateral returned	(373,804)	(243,510)
Taxes paid related to net share settlement of equity awards	(201,381)	(117,225)
Issuance of convertible senior notes, net	—	1,246,025
Purchases of capped calls	—	(104,110)
Other financing activities, net	60,560	76,966
Net cash (used in) provided by financing activities	(1,284,939)	993,988
Net (decrease) increase in cash, cash equivalents, and restricted cash and cash equivalents	(2,056,001)	1,745,378
Effect of exchange rates on cash, cash equivalents, and restricted cash and cash equivalents	79,845	(25,923)
Cash, cash equivalents, and restricted cash and cash equivalents, beginning of period	14,610,442	9,555,429
Cash, cash equivalents, and restricted cash and cash equivalents, end of period	\$ 12,634,286	\$ 11,274,884

The accompanying notes are an integral part of these Condensed Consolidated Financial Statements.

Coinbase Global, Inc.
Notes to Condensed Consolidated Financial Statements
(unaudited)

1. NATURE OF OPERATIONS

Coinbase, Inc. was founded in 2012. In April 2014, in connection with a corporate reorganization, Coinbase, Inc. became a wholly-owned subsidiary of Coinbase Global, Inc. (together with its consolidated subsidiaries, the "Company").

The Company provides a trusted platform that serves as a compliant on-ramp to the onchain economy and enables users to engage in a wide variety of activities with their crypto assets in both proprietary and third-party product experiences enabled by access to decentralized applications. The Company offers (i) consumers their primary financial account for the cryptoeconomy, (ii) institutions a full-service prime brokerage platform with access to deep pools of liquidity across the crypto marketplace, and (iii) developers a suite of products granting access to build onchain.

The Company is remote-first and accordingly, does not maintain a headquarters. Substantially all of the Company's executive team meetings are held virtually, with meetings occasionally held in-person at locations that are either not in the Company's offices or in various of the Company's offices distributed around the world. The Company holds all of its stockholder meetings virtually.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of presentation and preparation

The accompanying Condensed Consolidated Financial Statements include the accounts of the Company and its subsidiaries – entities in which the Company holds, directly or indirectly, more than 50% of the voting rights, or where it exercises control. The Condensed Consolidated Financial Statements are unaudited but have been prepared in accordance with United States ("U.S.") generally accepted accounting principles ("GAAP") on the same basis as the audited Consolidated Financial Statements, and in management's opinion, reflect all adjustments, consisting only of normal, recurring adjustments, that are necessary for the fair presentation of the Company's Financial Statements. Preparation of the Condensed Consolidated Financial Statements in accordance with GAAP requires management to make estimates and assumptions in the Condensed Consolidated Financial Statements and notes thereto. Certain prior period amounts in the Condensed Consolidated Financial Statements have been reclassified to conform to the current period's presentation. The unaudited Condensed Consolidated Results of Operations for the three and six months ended June 30, 2025 are not necessarily indicative of the results to be expected for the full year or any other period and should be read in conjunction with the audited Consolidated Financial Statements and notes thereto included in the Company's Annual Report on Form 10-K for the year ended December 31, 2024 filed with the Securities and Exchange Commission (the "SEC") on February 13, 2025 (the "Annual Report").

There were no material changes to the Company's most significant estimates and assumptions, significant accounting policies, segment reporting, or recent accounting pronouncements that were disclosed in *Note 2. Summary of Significant Accounting Policies* to the Consolidated Financial Statements included in the Annual Report, other than as discussed below.

Concentration of credit risk

The Company's cash and cash equivalents, restricted cash and cash equivalents, customer custodial funds, USDC, loan receivables, certain crypto assets held, accounts receivable, and deposits are potentially subject to concentration of credit risk. See below and *Notes 4. Collateralized Arrangements and Financing* and *6. Accounts Receivable, Net* for a discussion of these risks by counterparty and type of transaction.

Funds held at financial institutions

Cash and cash equivalents, restricted cash and cash equivalents, and customer custodial funds are primarily placed with financial institutions which are of high credit quality. The Company holds cash and

Coinbase Global, Inc.
Notes to Condensed Consolidated Financial Statements
(unaudited)

cash equivalents and customer custodial funds primarily in highly liquid, highly rated instruments which are uninsured. The Company may also have corporate deposit balances with financial institutions which exceed the Federal Deposit Insurance Corporation insurance limit of \$250,000. The Company has not experienced losses on these accounts and does not believe it is exposed to any significant credit risk with respect to these accounts.

Funds held at trading venues, payment processors, and clearing brokers

The Company holds cash, restricted cash and deposits, and crypto assets at crypto asset trading venues, payment processors, and clearing brokers, and performs a regular assessment of these venues as part of its risk management process. As of June 30, 2025, the Company held \$202.8 million at these venues, including \$110.3 million in cash, \$54.3 million in crypto assets, and \$36.9 million in restricted cash. As of December 31, 2024, the Company held \$88.2 million in cash at these venues.

USDC

The Company holds USDC, a stablecoin redeemable on a one-to-one basis for U.S. dollars and issued by Circle Internet Financial, LLC ("Circle") and its affiliate, Circle Internet Financial Europe SAS. USDC is accounted for as a financial instrument in the Condensed Consolidated Financial Statements. Circle reported that, as of June 30, 2025, underlying reserves were held in cash, short-duration U.S. Treasuries, and overnight U.S. Treasury repurchase agreements within segregated accounts for the benefit of USDC holders.

3. REVENUE

The following table presents revenue disaggregated by type (in thousands):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Net revenue				
Transaction revenue				
Consumer, net	\$ 649,908	\$ 664,772	\$ 1,745,414	\$ 1,599,984
Institutional, net	60,819	63,624	159,707	149,016
Other transaction revenue, net	53,543	52,506	121,357	108,643
Total transaction revenue	764,270	780,902	2,026,478	1,857,643
Subscription and services revenue				
Stablecoin revenue ⁽¹⁾	332,497	240,436	630,032	437,753
Blockchain rewards	144,535	185,139	341,127	336,068
Interest and finance fee income ⁽²⁾	59,316	69,400	122,402	136,063
Other subscription and services revenue	119,478	104,065	260,376	200,092
Total subscription and services revenue	655,826	599,040	1,353,937	1,109,976
Total net revenue	1,420,096	1,379,942	3,380,415	2,967,619
Other revenue				
Corporate interest and other income ⁽¹⁾	77,112	69,686	151,088	119,579
Total other revenue	77,112	69,686	151,088	119,579
Total revenue	\$ 1,497,208	\$ 1,449,628	\$ 3,531,503	\$ 3,087,198

(1) Amounts represent revenue that is not accounted for as revenue from contracts with customers, as defined in Accounting Standards Codification ("ASC") 606, Revenue from Contracts with Customers ("ASC 606").

(2) Amounts primarily represent revenue that is not accounted for as revenue from contracts with customers, as well as an immaterial amount of finance fee income in all periods presented that is accounted for as revenue from contracts with customers.

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During the three and six months ended June 30, 2025 and 2024, one counterparty accounted for more than 10% of total revenue in each period.

Revenue by geographic location

The following table presents revenue disaggregated by geography based on domiciles of the customer or other counterparty (in thousands):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
U.S. ⁽¹⁾	\$ 1,291,616	\$ 1,232,616	\$ 2,997,268	\$ 2,586,066
International ⁽²⁾	205,592	217,012	534,235	501,132
Total revenue	<u>\$ 1,497,208</u>	<u>\$ 1,449,628</u>	<u>\$ 3,531,503</u>	<u>\$ 3,087,198</u>

(1) Nearly all revenue that is not accounted for as revenue from contracts with customers, as defined in ASC 606, is with counterparties in the U.S.

(2) No country accounted for more than 10% of Total revenue.

4. COLLATERALIZED ARRANGEMENTS AND FINANCING

Loans and related collateral

The following table summarizes the Company's Prime Financing lending arrangements (in thousands):

	June 30, 2025	December 31, 2024
Loan receivables		
Fiat loan receivables	\$ 750,237	\$ 382,751
Crypto asset loan receivables	53,129	92,619
Total loan receivables ⁽¹⁾	<u>\$ 803,366</u>	<u>\$ 475,370</u>
Customer loans not meeting recognition criteria		
USDC	\$ 75,436	\$ 168,795

(1) Includes an immaterial amount of fiat and crypto asset trade finance receivables as of June 30, 2025 and December 31, 2024.

As of June 30, 2025 and December 31, 2024, the Company had three and two counterparties, respectively, each who accounted for more than 10% of the Company's recognized Loan receivables. As of both of these dates, the Company also had three counterparties each, who accounted for more than 10% of the Company's customer loans that did not meet the recognition criteria.

As of June 30, 2025 and December 31, 2024, the collateral requirements for all loans outstanding, including customer loans not meeting recognition criteria, ranged from 100% to 300% of the fair value of the loan. No allowance, write-offs, or recoveries were recognized against loan receivables or customer loans not meeting recognition criteria during the periods presented, and none of these loans were past due.

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The following table summarizes assets the Company holds and has recognized as collateral with a corresponding obligation to return the collateral to the borrower (in thousands, except units):

	June 30, 2025			December 31, 2024		
	Units	Cost Basis	Fair Value	Units	Cost Basis	Fair Value
Fiat ⁽¹⁾	N/A	N/A	\$ 21,389	N/A	N/A	\$ 24,641
Bitcoin	7,978	\$ 577,798	859,940	6,918	\$ 414,745	647,568
Ethereum	36,750	100,767	91,332	33,130	98,787	111,445
Other crypto assets ⁽²⁾	—	—	—	nm	8,065	8,471
Crypto assets held as collateral		\$ 678,565	951,272		\$ 521,597	767,484
Total recognized held as collateral			\$ 972,661			\$ 792,125

nm - not meaningful

(1) Fiat collateral held is recognized within Cash and cash equivalents in the Condensed Consolidated Balance Sheets. Cost basis and units are not required disclosure and are therefore labeled N/A.

(2) Includes various other crypto asset balances, none of which individually represented more than 5% of the fair value of total Crypto assets held as collateral.

The following table summarizes assets the Company holds as collateral that it has not recognized as collateral nor as an obligation to return the collateral to the borrower (in thousands):

	June 30, 2025	December 31, 2024
Fiat	\$ 50,161	\$ 64,760
USDC	32,357	45,222
Crypto assets	532,575	178,619
Total customer collateral not recognized as collateral	\$ 615,093	\$ 288,601

Borrowings and related collateral

The following table summarizes the units, cost basis, and fair value of Crypto assets borrowed and the associated Crypto asset borrowings (in thousands, except units):

	June 30, 2025			December 31, 2024		
	Units	Cost Basis	Fair Value	Units	Cost Basis	Fair Value
Crypto assets borrowed						
Bitcoin	1,100	\$ 105,212	\$ 117,906	1,923	\$ 191,986	\$ 179,480
Ethereum	32,355	86,709	80,439	17,413	65,213	57,989
Other crypto assets ⁽¹⁾	nm	27,500	25,275	nm	18,701	23,583
Total borrowed		\$ 219,421	\$ 223,620		\$ 275,900	\$ 261,052
Crypto asset borrowings						
Bitcoin	1,342	\$ 128,665	\$ 143,790	2,178	\$ 213,096	\$ 203,370
Ethereum	35,172	92,562	87,443	19,133	68,803	63,720
Other crypto assets ⁽¹⁾	nm	39,550	37,317	nm	28,141	33,020
Total borrowings		\$ 260,777	\$ 268,550		\$ 310,040	\$ 300,110

nm - not meaningful

(1) Includes various other crypto asset balances, none of which individually represented more than 5% of the fair value of total Crypto assets borrowed or total Crypto asset borrowings, as applicable.

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As of June 30, 2025 and December 31, 2024, the weighted average annual fees on these borrowings were 2.9% and 2.4%, respectively.

The fair value of the Company's corporate assets pledged as collateral against Crypto asset borrowings consisted of the following (in thousands):

	June 30, 2025	December 31, 2024
Assets pledged as collateral		
USDC	\$ —	\$ 4,009
Assets pledged as collateral not meeting derecognition criteria		
USDC	\$ 294,761	\$ 329,832

5. CRYPTO ASSETS HELD FOR OPERATIONS

The following table summarizes Crypto assets held for operations (in thousands, except units):

	June 30, 2025			December 31, 2024		
	Units	Cost Basis	Fair Value	Units	Cost Basis	Fair Value
Bitcoin	514	\$ 57,113	\$ 55,136	57	\$ 7,814	\$ 5,473
Ethereum	11,195	19,552	27,813	8,142	21,843	27,122
Solana	64,991	11,085	9,656	69,280	14,526	13,245
Other crypto assets ⁽¹⁾	nm	40,793	33,369	nm	51,871	36,941
Total held for operations		\$ 128,543	\$ 125,974		\$ 96,054	\$ 82,781

nm - not meaningful

(1) Includes various other crypto asset balances, none of which individually represented more than 5% of the fair value of total Crypto assets held for operations.

6. ACCOUNTS RECEIVABLE, NET

Accounts receivable, net consisted of the following (in thousands):

	June 30, 2025	December 31, 2024
Stablecoin revenue receivable	\$ 108,888	\$ 85,983
Customer fee revenue receivable	28,637	39,317
Other accounts receivable	98,294	169,380
Gross accounts receivable	235,819	294,680
Less: allowance for doubtful accounts	(12,823)	(29,429)
Total accounts receivable, net	\$ 222,996	\$ 265,251

As of June 30, 2025 and December 31, 2024, the Company had two and one counterparties, respectively, each who accounted for more than 10% of the Company's Accounts receivable, net.

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7. CRYPTO ASSETS HELD FOR INVESTMENT

The following table summarizes Crypto assets held for investment (in thousands, except units):

	June 30, 2025			December 31, 2024		
	Units	Cost Basis	Fair Value	Units	Cost Basis	Fair Value
Bitcoin	11,776	\$ 740,339	\$ 1,261,220	6,885	\$ 272,164	\$ 642,738
Ethereum	136,782	268,673	339,502	115,700	260,674	385,314
Other crypto assets ⁽¹⁾	nm	264,163	238,165	nm	347,827	524,943
Total held for investment		<u>\$ 1,273,175</u>	<u>\$ 1,838,887</u>		<u>\$ 880,665</u>	<u>\$ 1,552,995</u>

nm - not meaningful

(1) Includes various other crypto asset balances, none of which individually represented more than 5% of the fair value of total Crypto assets held for investment.

As of June 30, 2025, the Company had \$75.7 million of Crypto assets held for investment subject to selling restrictions that are time-based and lift between 2025 and 2029.

8. LONG-TERM DEBT

The components of Long-term debt, including the current portion due June 1, 2026, were as follows (in thousands, except percentages):

	Effective Interest Rate	Principal Amount	Unamortized Debt Discount and Issuance Costs	Net Carrying Amount	Fair Value ⁽¹⁾
June 30, 2025					
0.50% 2026 Convertible Notes due June 1, 2026	0.98%	\$ 1,273,013	\$ (6,436)	\$ 1,266,577	\$ 1,474,022
3.38% 2028 Senior Notes due October 1, 2028	3.57%	1,000,000	(5,711)	994,289	938,750
0.25% 2030 Convertible Notes due April 1, 2030	0.55%	1,265,000	(17,506)	1,247,494	1,654,747
3.63% 2031 Senior Notes due October 1, 2031	3.77%	737,457	(5,695)	731,762	659,102
Total		<u>\$ 4,275,470</u>	<u>\$ (35,348)</u>	<u>\$ 4,240,122</u>	<u>\$ 4,726,621</u>
December 31, 2024					
0.50% 2026 Convertible Notes due June 1, 2026	0.98%	\$ 1,273,013	\$ (9,395)	\$ 1,263,618	\$ 1,331,062
3.38% 2028 Senior Notes due October 1, 2028	3.57%	1,000,000	(6,562)	993,438	901,250
0.25% 2030 Convertible Notes due April 1, 2030	0.55%	1,265,000	(19,322)	1,245,678	1,353,044
3.63% 2031 Senior Notes due October 1, 2031	3.77%	737,457	(6,110)	731,347	624,995
Total		<u>\$ 4,275,470</u>	<u>\$ (41,389)</u>	<u>\$ 4,234,081</u>	<u>\$ 4,210,351</u>

(1) Fair values are based on quoted prices for these instruments in markets that are not active and other market observable inputs, which are considered Level 2 valuation inputs.

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9. DERIVATIVES

During the periods presented, the Company's derivatives were all embedded forward contracts to receive or deliver a fixed amount of crypto assets in the future and none were designated as hedging instruments.

Impact of derivatives on the Condensed Consolidated Balance Sheets

The following table summarizes information on derivative instruments by their location in the Condensed Consolidated Balance Sheets, as measured in U.S. dollar equivalents (in thousands):

		Embedded Derivative		
	Host	Gross Derivative Assets	Gross Derivative Liabilities	Aggregate Carrying Value
June 30, 2025				
Accounts receivable, net ⁽¹⁾	\$ 10,519	\$ 23,354	\$ 2,959	\$ 30,914
Crypto asset borrowings	260,777	22,825	30,598	268,550
Obligation to return collateral ⁽¹⁾	678,566	9,442	282,148	951,272
Accrued expenses and other current liabilities ⁽¹⁾	26,663	4,573	2,132	24,222
Total fair value of derivatives		<u>\$ 60,194</u>	<u>\$ 317,837</u>	
December 31, 2024				
Accounts receivable, net ⁽¹⁾	\$ 16,264	\$ 20,368	\$ 1,811	\$ 34,821
Other current assets ⁽¹⁾	99,265	61,304	—	160,569
Crypto asset borrowings	310,040	18,030	8,100	300,110
Obligation to return collateral ⁽¹⁾	526,337	2,149	243,296	767,484
Accrued expenses and other current liabilities ⁽¹⁾	37,428	6,814	2,708	33,322
Total fair value of derivatives		<u>\$ 108,665</u>	<u>\$ 255,915</u>	

(1) Represents the portion of the Condensed Consolidated Balance Sheets line item that is denominated in crypto assets.

Impact of derivatives on the Condensed Consolidated Statements of Operations

The impacts of (losses) gains on derivative instruments recognized in the Condensed Consolidated Statements of Operations were as follows (in thousands):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Crypto asset borrowings ⁽¹⁾	\$ (69,671)	\$ 46,099	\$ (17,703)	\$ (49,815)
Obligation to return collateral ⁽¹⁾	(183,665)	112,915	(31,559)	(4,351)
Other ⁽²⁾	14,056	(26,707)	(1,193)	(14,633)
Total	<u>\$ (239,280)</u>	<u>\$ 132,307</u>	<u>\$ (50,455)</u>	<u>\$ (68,799)</u>

(1) Changes in fair value are recognized in Transaction expense in the Condensed Consolidated Statements of Operations. The impact of changes in fair value of Crypto asset borrowings and Obligation to return collateral derivatives is naturally offset, at least in part, by the impact of changes in fair value of the associated naturally offsetting positions, which are also recognized in Transaction expense.

(2) Changes in fair value are recognized in Other operating expense, net or Other (income) expense, net in the Condensed Consolidated Statements of Operations depending on the nature of the derivative.

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10. OTHER CONDENSED CONSOLIDATED BALANCE SHEETS DETAILS

The following table presents certain other details of the Condensed Consolidated Balance Sheets (in thousands):

	June 30, 2025	December 31, 2024
Other current assets		
Prepaid expenses	\$ 92,578	\$ 88,500
Income taxes receivable	40,823	5,530
Other	145,829	183,506
Total other current assets	<u>\$ 279,230</u>	<u>\$ 277,536</u>
Other non-current assets		
Software and equipment, net	\$ 241,776	\$ 200,080
Intangible assets, net	41,309	46,804
Income taxes receivable	61,110	60,004
Lease right-of-use assets	135,969	81,151
Other	37,669	33,135
Total other non-current assets	<u>\$ 517,833</u>	<u>\$ 421,174</u>
Accrued expenses and other current liabilities		
Accrued payroll and payroll related expenses	\$ 108,694	\$ 186,151
Other accrued expenses	211,421	145,369
Accounts payable	68,518	63,316
Income taxes payable	6,464	90,910
Other payables	206,257	204,390
Total accrued expenses and other current liabilities	<u>\$ 601,354</u>	<u>\$ 690,136</u>
Other non-current liabilities		
Lease liabilities	\$ 169,393	\$ 85,789
Other	7,429	3,919
Total other non-current liabilities	<u>\$ 176,822</u>	<u>\$ 89,708</u>

Leases

The Company has operating leases for corporate offices. The leases have remaining lease terms ranging from less than one year to 13 years, and generally have options to extend or terminate the lease that were not accounted for in determining the lease terms as the Company is not reasonably certain it will exercise those options.

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Maturities of lease liabilities for the 12-month period ending June 30 of the respective year, were as follows as of June 30, 2025 (in thousands):

2026	\$	17,906
2027		20,938
2028		19,187
2029		19,107
2030		21,070
Thereafter		182,994
Total lease payments		281,202
Less: imputed interest		(93,427)
Total lease liabilities	\$	187,775

Other information related to leases was as follows:

	June 30, 2025	December 31, 2024
Weighted-average remaining lease term (in years)	10.3	9.8
Weighted-average discount rate	6.64%	6.36%

11. FAIR VALUE MEASUREMENTS AND STRATEGIC INVESTMENTS

The following table sets forth by level within the fair value hierarchy, the Company's assets and liabilities measured and recorded at fair value on a recurring basis (in thousands):

	June 30, 2025		December 31, 2024	
	Level 1	Level 2	Level 1	Level 2
Assets				
Cash equivalents ⁽¹⁾	\$ 5,980,319	\$ —	\$ 6,607,023	\$ —
Restricted cash equivalents ⁽²⁾	2,519	—	1,415	—
Customer custodial funds ⁽³⁾	3,139,226	—	4,269,410	—
Crypto assets held for operations	125,974	—	82,781	—
Crypto asset loan receivables	—	53,129	—	92,619
Crypto assets held as collateral	951,272	—	767,484	—
Crypto assets borrowed	223,620	—	261,052	—
Other current assets ⁽⁴⁾	105,711	—	—	—
Crypto assets held for investment	1,838,887	—	1,552,995	—
Strategic investments ⁽⁵⁾	1,543,261	10,340	—	—
Derivative assets ⁽⁶⁾	—	60,194	—	108,665
Total assets	\$ 13,910,789	\$ 123,663	\$ 13,542,160	\$ 201,284
Liabilities				
Derivative liabilities ⁽⁶⁾	\$ —	\$ 317,837	\$ —	\$ 255,915

(1) Represents cash equivalents, which comprise money market funds. Excludes cash of \$1.6 billion and \$1.9 billion as of June 30, 2025 and December 31, 2024, respectively.

(2) Represents restricted cash equivalents, which comprise money market funds. Excludes restricted cash of \$66.7 million and \$37.1 million as of June 30, 2025 and December 31, 2024, respectively.

(3) Represents customer custodial cash equivalents, which comprise money market funds. Excludes customer custodial funds of \$2.0 billion and \$1.9 billion as of June 30, 2025 and December 31, 2024, respectively.

(4) Represents short-term investments. Excludes Other current assets that are not measured and recorded at fair value of \$173.5 million and \$277.5 million as of June 30, 2025 and December 31, 2024, respectively.

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- (5) Represents marketable equity securities. Excludes strategic investments that are not measured and recorded at fair value on a recurring basis of \$380.2 million and \$374.2 million as of June 30, 2025 and December 31, 2024, respectively.
- (6) See *Note 9. Derivatives* for additional details.

The Company has valued all Level 2 assets and liabilities measured at fair value on a recurring basis using quoted market prices as an observable input. This includes prices for underlying crypto assets and, for non-crypto denominated assets and liabilities, prices for similar assets and liabilities in inactive markets.

During the three and six months ended June 30, 2025, there were net unrealized gains of \$1.5 billion related to the Company's marketable equity securities held as of June 30, 2025. There were no realized gains or losses during these periods as no marketable equity securities were sold, and nearly all of this investment balance is subject to restrictions as to disposition.

Assets and liabilities measured and recorded at fair value on a non-recurring basis

The Company's non-financial assets, such as software and equipment, goodwill, and other intangible assets, are adjusted to fair value when an impairment charge is recognized.

Nearly all of the Company's strategic investments measured and recorded at fair value on a non-recurring basis due to the lack of readily determinable fair values are accounted for using the measurement alternative, whereby they are recognized at cost and adjusted to fair value for observable transactions for same or similar investments of the same issuer or for impairment, on a non-recurring basis. Fair value measurements for these strategic investments are based predominantly on Level 3 inputs to an Option-Pricing Model that uses publicly available market data of comparable companies and other unobservable inputs including expected volatility, expected time to liquidity, adjustments for other company-specific developments, and the rights and obligations of the securities the Company holds.

The impact on the Condensed Consolidated Statements of Operations from remeasurement of measurement alternative investments was immaterial for all periods presented, as were cumulative upward adjustments of measurement alternative investments outstanding at June 30, 2025 and December 31, 2024. Cumulative impairments and downward adjustments as of these dates were \$121.6 million and \$145.8 million, respectively.

Assets and liabilities not measured and recorded at fair value

Certain of the Company's financial instruments are not measured and recorded at fair value because carrying values of these instruments approximate their fair values due to their liquid or short-term nature. The following financial instruments denominated in fiat or USDC, as applicable, would be based on Level 1 valuation inputs if they were recorded at fair value: cash, restricted cash, USDC, certain customer custodial funds and related liabilities, collateral pledged, and obligations to return collateral. The following financial instruments denominated in fiat or USDC, as applicable, would be based on Level 2 valuation inputs if they were recorded at fair value: accounts receivable, loan receivables, accounts payable, and long-term debt.

The Company's long-term debt is not measured and recorded at fair value. See *Note 8. Long-Term Debt* for the estimated fair value of the Company's long-term debt.

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12. STOCK-BASED COMPENSATION

Stock options

A summary of stock options activity, including performance-based options, is as follows (in thousands, except per share and years data):

	Options Outstanding	Weighted-Average		Aggregate Intrinsic Value
		Exercise Price Per Share	Remaining Contractual Life (Years)	
Balance at January 1, 2025	22,929	\$ 25.59	5.2	\$ 5,106,538
Exercised	(1,496)	28.93		
Forfeited and cancelled	(42)	100.51		
Balance at June 30, 2025	21,391	\$ 25.20	4.8	\$ 6,958,048
Exercisable at June 30, 2025	16,483	\$ 25.72	4.7	\$ 5,353,251
Vested and expected to vest at June 30, 2025	16,483	\$ 25.72	4.7	\$ 5,353,251

As of June 30, 2025, there was total unrecognized compensation cost of \$13.7 million related to unvested stock options, which cost is expected to be recognized over a weighted-average period of 2.7 years.

Other awards

A summary of restricted stock units, performance restricted stock units, and restricted stock ("Other Awards") activity is as follows (in thousands, except per share data):

	Restricted Stock Units		Performance Restricted Stock Units		Restricted Stock	
	Number of Shares	Fair Value ⁽¹⁾	Number of Shares	Fair Value ⁽¹⁾	Number of Shares	Fair Value ⁽¹⁾
Balance at January 1, 2025	2,350	\$ 163.82	724	\$ 55.42	340	\$ 98.49
Granted	3,344	262.80	—	—	—	—
Vested	(1,772)	211.24	(81)	55.42	(235)	113.75
Forfeited and cancelled	(354)	216.38	—	—	(12)	64.51
Balance at June 30, 2025	3,568	\$ 227.84	643	\$ 55.42	93	\$ 64.51

(1) Represents the weighted-average grant date fair value per share.

As of June 30, 2025, there was unrecognized compensation cost related to Other Awards as follows (in thousands, except years data):

	Unrecognized Compensation	Weighted-Average Recognition Period (Years)
Restricted stock units	\$ 722,724	1.4
Performance restricted stock units	\$ 4,556	0.6
Restricted stock	\$ 3,352	0.7

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Stock-based compensation

The effects of stock-based compensation on the Condensed Consolidated Statements of Operations and Condensed Consolidated Balance Sheets are as follows (in thousands):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Statements of Operations				
Technology and development	\$ 117,240	\$ 133,622	\$ 225,332	\$ 273,452
Sales and marketing	14,533	16,691	29,438	33,314
General and administrative	64,387	67,621	132,119	135,672
Total stock-based compensation expense	<u>\$ 196,160</u>	<u>\$ 217,934</u>	<u>\$ 386,889</u>	<u>\$ 442,438</u>
Balance Sheets				
Other non-current assets ⁽¹⁾	\$ 12,020	\$ 12,435	\$ 28,585	\$ 23,500

(1) Represents capitalized stock-based compensation that is recognized in Software and equipment, net and presented within this financial statement line item. See Note 10. Other Condensed Consolidated Balance Sheets Details for additional details.

13. OTHER (INCOME) EXPENSE, NET

Other (income) expense, net consisted of the following (in thousands):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
(Gains) losses on strategic investments, net ⁽¹⁾	\$ (1,472,121)	\$ 13,814	\$ (1,475,448)	\$ 14,663
(Gains) losses on other financial instruments, net	(17,740)	24,584	3,943	11,398
(Gains) losses on crypto asset loan receivables, net	(1,453)	34,010	1,400	8,484
Other	(15,591)	(8,581)	(30,612)	(16,323)
Total other (income) expense, net	<u>\$ (1,506,905)</u>	<u>\$ 63,827</u>	<u>\$ (1,500,717)</u>	<u>\$ 18,222</u>

(1) See Note 11. Fair Value Measurements and Strategic Investments for additional details.

14. INCOME TAXES

The Company's effective tax rate ("ETR") for the three months ended June 30, 2025 and 2024 was 21.7% and 160.0%, respectively. The ETR of 21.7% for the three months ended June 30, 2025 was higher than the U.S. statutory rate of 21.0%, primarily due to the Company's non-deductible expenses and state tax, mostly offset by deductible stock-based compensation. The Company's ETR for the six months ended June 30, 2025 and 2024 was 21.6% and 12.0%, respectively. The ETR of 21.6% for the six months ended June 30, 2025 was higher than the U.S. statutory rate of 21.0%, primarily due to the Company's non-deductible expenses and state tax, mostly offset by deductible stock-based compensation.

As of June 30, 2025, the Company had a net deferred tax asset balance of \$541.4 million, compared to \$941.3 million as of December 31, 2024. As of each reporting date, management considers new evidence, both positive and negative, that could affect its view of the future realization of deferred tax assets. Management determined that there is sufficient positive evidence to conclude that it is more likely than not that the Company's net deferred tax asset will be fully realized.

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15. NET INCOME PER SHARE

The computation of Net income per share, including the weighted-average shares outstanding ("WASO") used in the computation, is as follows (in thousands, except per share amounts):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Numerators				
Net income	\$ 1,428,900	\$ 36,150	\$ 1,494,508	\$ 1,212,395
Less: net income allocated to participating shares	—	(23)	—	(784)
Net income attributable to common stockholders, basic	<u>\$ 1,428,900</u>	<u>\$ 36,127</u>	<u>\$ 1,494,508</u>	<u>\$ 1,211,611</u>
Net income	\$ 1,428,900	\$ 36,150	\$ 1,494,508	\$ 1,212,395
Add: interest on convertible notes, net of tax	3,611	—	7,209	6,145
Less: net income allocated to participating shares	—	(22)	—	(711)
Net income attributable to common stockholders, diluted	<u>\$ 1,432,511</u>	<u>\$ 36,128</u>	<u>\$ 1,501,717</u>	<u>\$ 1,217,829</u>
Denominators				
WASO - basic	255,188	246,298	254,537	244,546
Weighted-average effect of potentially dilutive shares:				
Stock options	15,299	17,254	15,561	17,894
Convertible notes	7,229	—	7,229	5,687
Restricted stock units	665	2,672	807	2,250
Performance restricted stock units	446	350	413	343
Restricted stock	86	257	153	283
WASO - diluted	<u>278,913</u>	<u>266,831</u>	<u>278,700</u>	<u>271,003</u>
Net income per share attributable to common stockholders:				
Basic	\$ 5.60	\$ 0.15	\$ 5.87	\$ 4.95
Diluted	\$ 5.14	\$ 0.14	\$ 5.39	\$ 4.49

The rights, including the liquidation and dividend rights, of the holders of Class A common stock and Class B common stock are identical, except with respect to voting. As a result, the undistributed earnings are allocated on a proportionate basis and the resulting income or loss per share will, therefore, be the same for both Class A common stock and Class B common stock on an individual or combined basis.

The following potentially dilutive shares were not included in the calculation of diluted shares outstanding as the effect would have been anti-dilutive, or in the case of performance awards, as the issuance of such shares is contingent upon the satisfaction of certain conditions which were not satisfied by the end of the reporting period (in thousands):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Equity awards ⁽¹⁾	7,383	7,807	7,383	7,807
Convertible notes	—	7,229	—	—
Total	<u>7,383</u>	<u>15,036</u>	<u>7,383</u>	<u>7,807</u>

(1) Includes shares under the ESPP.

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See also *Note 16. Commitments and Contingencies* for discussion of an additional 10,997,881 shares of Class A common stock that would be issued should the Company's acquisition of Sentillia B.V. ("Deribit") close as anticipated.

16. COMMITMENTS AND CONTINGENCIES

Crypto assets and USDC on platform

The Company is obligated to securely store all crypto assets and USDC that it holds in custodial products on behalf of customers. As such, the Company may be liable to its users for losses arising from the Company's failure to secure these assets from theft or loss. The Company has not incurred any losses related to such obligations and therefore has not accrued any liabilities as of each June 30, 2025 and December 31, 2024. The Company holds crypto assets and USDC in custodial products on its platform on behalf of its customers totaling \$425.0 billion and \$404.0 billion at fair value at June 30, 2025 and December 31, 2024, respectively. These assets are not recognized in the Condensed Consolidated Balance Sheets. Similarly, as the Company has an obligation to securely store all of these assets, it has a corresponding unrecognized liability of \$425.0 billion and \$404.0 billion at June 30, 2025 and December 31, 2024, respectively. Since the risk of loss is remote, the Company did not recognize a contingent liability at June 30, 2025 or December 31, 2024. The Company has no reason to believe it will incur any expense associated with such potential liability because (i) it has no known or historical experience of claims to use as a basis of measurement, (ii) it accounts for and continually verifies the amount of crypto assets within its control, and (iii) it has established security around custodial product private keys to minimize the risk of theft or loss.

Indemnifications

In the event any registrable securities are included in a registration statement, the Company's Amended and Restated Investors' Rights Agreement (the "IRA") entered into with certain of the Company's stockholders provides indemnity to each stockholder, their partners, members, officers, directors, and stockholders and certain of their advisors; each underwriter, if any; and each person who controls each stockholder or underwriter, against any damages incurred in connection with investigating or defending any claim or proceeding arising as a result of such registration from which damages may result. The Company will reimburse each such party for any legal and any other expenses reasonably incurred, provided that the Company will not be liable in any such case to the extent the damages arise out of or are based upon any actions or omissions made in reliance upon and in conformity with written information furnished by or on behalf of such stockholder or underwriter and stated to be specifically for use therein.

The Company also has indemnity agreements with certain officers and directors of the Company pursuant to which the Company must indemnify the officer or director against all expenses, judgments, fines, and amounts paid in settlement reasonably incurred in connection with a third party proceeding, if the indemnitee acted in good faith and in a manner reasonably believed to be in or not opposed to the best interests of the Company, and in the case of a criminal proceeding, had no reasonable cause to believe the indemnitee's conduct was unlawful.

It is not possible to determine the maximum potential exposure under these indemnification agreements: (i) because the facts and circumstances involved in each claim are unique and the Company cannot predict the number or nature of claims that may be made; (ii) due to the unique facts and circumstances involved in each particular agreement; and (iii) due to the requirement for a registration of the Company's securities before any of the indemnification obligations contemplated in the IRA become effective.

The Company has also provided indemnities or similar commitments on standard commercial terms in the ordinary course of business.

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Legal and regulatory proceedings

The Company is subject to various litigation, regulatory investigations, and other legal proceedings that arise in the ordinary course of its business. The Company is also subject to regulatory oversight by numerous regulatory and other governmental agencies, including at the federal and state levels and internationally. The Company reviews its lawsuits, regulatory investigations, and other legal proceedings on an ongoing basis and provides disclosure and recognizes loss contingencies in accordance with the loss contingencies accounting guidance. In accordance with such guidance, the Company establishes accruals for such matters when potential losses become probable and can be reasonably estimated. If the Company determines that a loss is reasonably possible and the loss or range of loss can be estimated, the Company discloses the possible loss in the Condensed Consolidated Financial Statements.

In July and August 2021, three purported securities class actions were filed in the U.S. District Court for the Northern District of California against the Company, its directors, certain of its officers and employees, and certain venture capital and investment firms. The complaints alleged violations of Sections 11, 12(a)(2) and 15 of the Securities Act, in connection with the registration statement and prospectus filed in connection with the Direct Listing. In November 2021, these actions were consolidated and recaptioned as *In re Coinbase Global Securities Litigation*, and an amended complaint was filed. The plaintiff sought, among other relief, unspecified compensatory damages, attorneys' fees, and costs. The Company disputed the claims and vigorously defended against them. In March 2025, the plaintiff voluntarily dismissed this action and the court entered an order closing the case. The resolution of this action did not have a material impact on the Company's business and financial statements. The Company has subsequently received, and expects to receive in the future, similar shareholder claims.

In October 2021, a purported class action captioned *Underwood et al. v. Coinbase Global, Inc.*, was filed in the U.S. District Court for the Southern District of New York (the "District Court") against the Company alleging claims under Sections 5, 15(a)(1) and 29(b) of the Exchange Act, and violations of certain California and Florida state statutes. On March 11, 2022, plaintiffs filed an amended complaint adding Coinbase, Inc. and Brian Armstrong as defendants and adding causes of action, including alleging claims under Sections 5, 12(a)(1) and 15 of the Securities Act and violations of certain New Jersey state statutes. Among other relief requested, the plaintiffs sought injunctive relief, unspecified damages, attorneys' fees and costs. On February 1, 2023, the District Court dismissed all federal claims (with prejudice) and state law claims (without prejudice) against Coinbase Global, Inc., Coinbase, Inc. and Brian Armstrong. Subsequently, on February 9, 2023, the plaintiffs appealed that ruling to the U.S. Court of Appeals for the Second Circuit (the "Court of Appeals"), and the parties completed briefing the appeal on September 13, 2023. Oral argument took place on February 1, 2024 and on April 5, 2024, the Court of Appeals issued a Summary Order affirming the District Court's dismissal order with respect to the claims alleging violations of the Exchange Act, and reversing the District Court's dismissal order with respect to the claims alleging violations of the Securities Act and violations of the state statutes. On June 27, 2024, defendants filed an answer to the amended complaint, and on July 29, 2024, the defendants filed a Motion for Judgment on the Pleadings requesting the District Court dismiss the remaining claims. On February 7, 2025, the District Court denied defendants' Motion for Judgment on the Pleadings and allowed the case to proceed to bifurcated discovery, followed by summary judgment motions. The defendants continue to dispute the claims in this case and intend to vigorously defend against them. Based on the nature of the proceedings in this case, the outcome of this matter remains uncertain and the Company cannot estimate the potential impact, if any, on its business or financial statements at this time. The Company has subsequently received, and expects to receive in the future, similar class action claims.

In December 2021, a shareholder derivative suit captioned *Shin v. Coinbase Global, Inc.*, was filed in New York state court against the Company and its directors, alleging breach of fiduciary duties, unjust enrichment, abuse of control, gross mismanagement, and waste of corporate assets, and seeking unspecified damages and injunctive relief. The parties have voluntarily dismissed this action and the court entered an order closing the case. The resolution of this action did not have a material impact on the Company's business and financial statements. The Company has subsequently received, and expects to

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receive in the future, similar derivative claims. The Company disputes the claims in these cases and intends to vigorously defend against them. Based on the preliminary nature of the proceedings in these cases, the outcome of these matters remain uncertain and the Company cannot estimate the potential impact, if any, on its business or financial statements at this time.

In June 2023, the SEC filed a complaint in the District Court against the Company and Coinbase, Inc. alleging that Coinbase, Inc. acted as an unregistered securities exchange, broker, and clearing agency in violation of Sections 5, 15(a) and 17A(b) of the Exchange Act and that, through its staking program, Coinbase, Inc. offered and sold securities without registering its offers and sales in violation of Sections 5(a) and 5(c) of the Securities Act. The SEC also alleged that the Company is liable for the alleged violations as an alleged control person of Coinbase, Inc. The case was captioned *SEC v. Coinbase, Inc. et al.* The SEC sought, among other relief, injunctive relief, disgorgement and civil money penalties. The Company and Coinbase, Inc. filed an answer to the SEC complaint in June 2023, disputed the claims in the case, and vigorously defended against them. On August 4, 2023, the Company and Coinbase, Inc. filed a motion for judgment on the pleadings. The SEC filed its response on October 3, 2023 and the Company and Coinbase, Inc. filed their reply on October 24, 2023. Oral argument took place on January 17, 2024. On March 27, 2024, the District Court denied in part the Company and Coinbase, Inc.'s motion for judgment on the pleadings with respect to the SEC's claims that Coinbase, Inc. operated as an unregistered securities exchange, broker, and clearing agency and engaged in an unregistered offer and sale of securities through the Company's staking program. The District Court dismissed the SEC's claim that Coinbase, Inc. acted as an unregistered broker through its wallet service. On April 12, 2024, the Company and Coinbase, Inc. filed a motion with the District Court seeking certification of an interlocutory appeal to the Court of Appeals. The District Court granted that motion on January 7, 2025 and stayed proceedings in the District Court. On January 17, 2025, the Company and Coinbase, Inc. filed a petition for permission to appeal to the Court of Appeals. On February 28, 2025, the SEC and the Company and Coinbase, Inc. jointly stipulated to dismissal of *SEC v. Coinbase, Inc. et al.* with prejudice. The case is now concluded. The resolution of the SEC's lawsuit did not have a material impact on the Company's business and financial statements.

In June 2023, the Company and Coinbase, Inc. were issued notices, show-cause orders, and cease-and-desist letters, and became the subject of various legal actions initiated by U.S. state securities regulators in the states of Alabama, California, Illinois, Kentucky, Maryland, New Jersey, South Carolina, Vermont, Washington and Wisconsin alleging violations of state securities laws with respect to staking services provided by Coinbase, Inc. In July 2023, the Company and Coinbase, Inc. entered into agreements with state securities regulators in California, New Jersey, South Carolina and Wisconsin, pursuant to which customers in those states will no longer be able to stake new funds, in each case pending final adjudication of the matters. In October 2023, the Company and Coinbase, Inc. entered into a similar agreement with the Maryland state securities regulator. In March and April 2025, the Alabama, Kentucky, Illinois, South Carolina, and Vermont state securities regulators dismissed, vacated, rescinded, and/or withdrew their legal actions. The Company and Coinbase, Inc. dispute the claims of the state securities regulators and intend to vigorously defend against them. Based on the preliminary nature of these actions, the final outcome of these matters remains uncertain and the Company cannot estimate the potential impact on its business or financial statements at this time. An adverse resolution in these state matters could have a material impact on the Company's business and financial statements.

The Company has, from time to time, received investigative subpoenas and requests from regulators for documents and information, including about certain customer programs, operations, and existing and intended future products, including the Company's processes for listing assets, the classification of certain listed assets, its staking programs, and its stablecoin and yield-generating products.

Except as otherwise disclosed, the Company believes the ultimate resolution of existing legal and regulatory investigation matters will not have a material adverse effect on the financial condition, results of operations, or cash flows of the Company. However, in light of the uncertainties inherent in these matters, it is possible that the ultimate resolution of one or more of these matters may have a material adverse effect on the Company's results of operations for a particular period, and future changes in circumstances

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or additional information could result in additional accruals or resolution in excess of established accruals, which could adversely affect the Company's results of operations, potentially materially.

Tax regulation

Current tax rules related to crypto assets are evolving and require significant judgments to be made in interpretation of the law, including but not limited to the areas of income tax, information reporting, value added taxes, digital services tax, transaction level taxes and the withholding of tax at source. Further, it is possible that additional legislation or guidance may be issued by U.S. and non-U.S. governing bodies that may differ significantly from the Company's practices or interpretation of the law, which could have unforeseen effects on the Company's financial condition and results of operations, and accordingly, the Company is unable to determine an estimate of the possible loss or range of loss beyond amounts already accrued. As a result, the Company may have exposure to additional tax liabilities that could have an adverse effect on the Company's operating results and financial condition.

Other commitments

On May 8, 2025, the Company signed a definitive agreement to acquire Deribit. Deribit is a crypto derivatives exchange, and the Company believes this strategic acquisition will play a key role in its goal to be the premier global platform for crypto derivatives. The Company agreed to pay \$700.0 million cash and 10,997,881 shares of the Company's Class A common stock. The aggregate purchase price of cash and issuance of the Company's Class A common stock are due upon the closing of the transaction, which is subject to customary closing conditions, including regulatory approvals, and is expected to close by December 31, 2025. In the interim, the aggregate purchase price will continue to fluctuate with changes in the price of the Company's Class A common stock.

During the three months ended June 30, 2025, the Company renewed a multi-year technology services agreement, committing \$600.0 million in total purchases over the next four years, including annual minimums ranging from \$90.0 million to \$130.0 million, consistent with historical commitment levels. None of this commitment was accrued as of June 30, 2025.

17. RELATED PARTY TRANSACTIONS**Revenue and Accounts receivable, net**

Certain of the Company's directors, executive officers, and principal owners, including immediate family members, are users of the Company's platform. The Company recognized revenue from related party customers of \$1.6 million and \$6.7 million during the three months ended June 30, 2025 and 2024, respectively, and \$5.2 million and \$13.6 million during the six months ended June 30, 2025 and 2024, respectively. As of June 30, 2025 and December 31, 2024, Accounts receivable, net from related party customers were \$1.3 million and \$2.7 million, respectively.

Customer custodial funds and liabilities

Customer custodial funds and Customer custodial fund liabilities for related parties were \$5.1 million and \$44.0 million as of June 30, 2025 and December 31, 2024, respectively.

Other assets

The Company made strategic investments of an aggregate of \$4.7 million and \$3.3 million during the three months ended June 30, 2025 and 2024, respectively, and \$7.8 million and \$3.3 million during the six months ended June 30, 2025 and 2024, respectively, in investees in which certain related parties of the Company held an interest over 10%.

Expenses and Accounts payable

There were immaterial amounts of professional and consulting services provided by entities affiliated with related parties during the three and six months ended June 30, 2025, compared to \$0.3 million and

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\$1.4 million, respectively, during the same periods in 2024. As of June 30, 2025 and December 31, 2024, there were no Accounts payable to related parties.

18. SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION

Changes in operating assets and liabilities affecting cash were as follows (in thousands):

	Six Months Ended June 30,	
	2025	2024
USDC	\$ (947,025)	\$ (492,242)
Accounts receivable, net	43,556	(69,779)
Customer custodial funds in transit	34,997	(5,012)
Income taxes, net	(125,633)	(1,667)
Other current and non-current assets	(117,405)	(2,971)
Other current and non-current liabilities	75,260	4,037
Net changes in operating assets and liabilities	\$ (1,036,250)	\$ (567,634)

The following is a reconciliation of cash, cash equivalents, and restricted cash and cash equivalents (in thousands):

	June 30,	
	2025	2024
Cash and cash equivalents	\$ 7,539,388	\$ 7,225,535
Restricted cash and cash equivalents	69,190	34,282
Customer custodial cash and cash equivalents	5,025,708	4,015,067
Total cash, cash equivalents, and restricted cash and cash equivalents	\$ 12,634,286	\$ 11,274,884

The following is a supplemental schedule of non-cash investing and financing activities (in thousands):

	Six Months Ended June 30,	
	2025	2024
Crypto assets received as collateral	\$ 1,507,022	\$ 1,686,190
Crypto assets received as collateral returned	1,354,794	1,448,854
Crypto asset loan receivables originated	1,110,482	837,729
Crypto asset loan receivables repaid	1,145,392	741,500
Crypto assets borrowed	588,999	225,037
Crypto assets borrowed repaid	638,262	100,285
Additions of crypto asset investments	171,645	1,941
Cumulative-effect adjustment due to the adoption of ASU 2023-08	—	561,489

The following is a supplemental schedule of cash paid for interest and income taxes (in thousands):

	Six Months Ended June 30,	
	2025	2024
Cash paid during the period for interest	\$ 35,005	\$ 33,424
Cash paid during the period for income taxes, net of refunds	131,310	—
Cash paid during the period for income taxes (prior to ASU No. 2023-09, <i>Improvements to Income Tax Disclosures</i>)	—	81,552

ITEM 2. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion and analysis of our financial condition and results of operations should be read in conjunction with our Condensed Consolidated Financial Statements and the accompanying notes thereto included elsewhere in this Quarterly Report on Form 10-Q and our Annual Report on Form 10-K for the year ended December 31, 2024 (the "Annual Report"). The following discussion and analysis contains forward-looking statements that involve risks and uncertainties, as well as assumptions that, if they never materialize or prove incorrect, could cause our results to differ materially from those expressed or implied by such forward-looking statements. Factors that could cause or contribute to these differences include, but are not limited to, those identified below and those discussed in the section titled Risk Factors in Part II, Item 1A of this Quarterly Report on Form 10-Q. Unless otherwise expressly stated or the context otherwise requires, references to "we," "our," "us," "the Company," and "Coinbase" refer to Coinbase Global, Inc. and its consolidated subsidiaries. For all narrative provided in this Item 2, two numbers presented consecutively represent figures for the three and six months ended June 30, 2025 as compared to the corresponding periods in 2024, respectively, unless otherwise noted.

Executive Overview

This executive overview of Management's Discussion and Analysis of Financial Condition and Results of Operations highlights selected information and does not contain all of the information that is important to readers of this Quarterly Report on Form 10-Q.

During the second quarter of 2025, we continued to make progress towards our mission by expanding access to trading through innovative derivative products, listing more spot assets, and expanding our offerings in markets globally. We also deepened financial utility with payment focused innovations like Coinbase Business, USDC integration with Shopify, and the announcement of the Coinbase One Card. Infrastructure upgrades included Base Chain's decentralization milestones, faster transaction speeds, and expanded stablecoin distribution. During the second quarter, we also reached significant milestones in advancing crypto policy and regulation both domestically and internationally, and we secured our Markets in Crypto-Assets Regulation ("MiCA") license.

For the three and six months ended June 30, 2025, our net revenue was \$1.4 billion and \$3.4 billion, respectively, including \$764.3 million and \$2.0 billion in transaction revenue and \$655.8 million and \$1.4 billion in subscription and services revenue. For the same periods in 2024, our net revenue was \$1.4 billion and \$3.0 billion, respectively, including \$780.9 million and \$1.9 billion in transaction revenue and \$599.0 million and \$1.1 billion in subscription and services revenue.

For the three and six months ended June 30, 2025, our net income was \$1.4 billion and \$1.5 billion, and Adjusted EBITDA was \$512.1 million and \$1.4 billion. For the same periods in 2024, our net income was \$36.2 million and \$1.2 billion, and Adjusted EBITDA was \$595.6 million and \$1.6 billion.

Despite multiple Federal Funds Rate decreases in late 2024, future interest rate decreases are not certain. If interest rates continue to decline, they may materially impact our subscription and services and other revenue. We plan to dynamically adjust our expense base in order to be responsive to market conditions and revenue opportunities, increasing or decreasing it as needed, especially with respect to certain variable expenses. In the third quarter of 2025, we expect technology and development and general and administrative expenses to increase as compared to the second quarter of 2025, driven by headcount growth. Additionally, we expect sales and marketing expenses to be in line with the second quarter of 2025, dependent on USDC balances in Coinbase products and performance marketing opportunities throughout the quarter.

Key Business Metrics

In addition to the measures presented in our Condensed Consolidated Financial Statements, we use the key business metrics listed below to evaluate our business, measure our performance, identify trends affecting our business, and make strategic decisions:

	Three Months Ended June 30,		Change	Six Months Ended June 30,		Change
	2025	2024	%	2025	2024	%
MTUs ⁽¹⁾ (in millions)	8.7	8.2	6	9.2	8.1	14
Assets on Platform ⁽²⁾ (in billions)	\$ 425	\$ 261	63	\$ 425	\$ 261	63
Trading Volume (in billions)	\$ 237	\$ 226	5	\$ 630	\$ 538	17
Net income (in millions)	\$ 1,429	\$ 36	nm	\$ 1,495	\$ 1,212	23
Adjusted EBITDA ⁽³⁾ (in millions)	\$ 512	\$ 596	(14)	\$ 1,442	\$ 1,610	(10)

nm - not meaningful

(1) MTUs for the three month period represent quarterly MTUs, which are calculated as the average of each month's MTUs in each respective quarter. MTUs for the six month period are calculated as the average of the quarterly MTUs within the period.

(2) Represents Assets on Platform as of June 30, 2025 and 2024.

(3) See the section titled "Non-GAAP Financial Measure" below for a reconciliation of net income to Adjusted EBITDA and an explanation for why we consider Adjusted EBITDA to be a helpful metric for investors.

Monthly Transacting Users

We define a Monthly Transacting User ("MTU") as a consumer who actively or passively transacts in one or more products on our platform at least once during the rolling 28-day period ending on the date of measurement. MTUs engage in transactions that generate both transaction revenue and subscription and services revenue. Revenue-generating transactions include active transactions, such as buying or selling crypto assets or passive transactions such as earning staking rewards and USDC rewards. MTUs also engage in transactions that are non-revenue generating, such as consumers sending and receiving crypto assets between wallets and off-platform accounts on a non-expedited basis. MTUs may overstate the number of unique consumers due to differences in product architecture or user behavior.

MTUs increased for the three and six months ended June 30, 2025 as compared to 2024, primarily due to an increase in trading users, influenced by overall crypto market sentiment and activity, including higher average prices for certain crypto assets.

Assets on Platform

We define Assets on Platform ("AOP") as the total United States ("U.S.") dollar equivalent value of USDC and crypto assets held or managed on behalf of customers in digital wallets on our platform, including our custody services but excluding assets for which the customer holds full or partial keys, calculated based on the market price on the date of measurement. AOP demonstrates the scale of balances held across our suite of products and services, the trust customers place in us to securely store their assets, and the underlying growth of the cryptoeconomy. AOP also represents a monetization opportunity through our products and services, including from trading and the adoption and use of USDC, staking, custody, and Prime Financing, when customers use these assets to engage with these products and services.

The following table sets forth the value of AOP by asset (in thousands, except percentages):

	June 30, 2025	June 30, 2024	Change %
Bitcoin	\$ 300,640,809	\$ 137,375,583	119
Ethereum	40,530,333	56,910,050	(29)
XRP	19,891,711	2,612,078	662
Solana	16,642,529	17,213,869	(3)
USDC	7,484,600	4,795,368	56
Other crypto assets ⁽¹⁾	39,802,538	42,302,505	(6)
Total	\$ 424,992,520	\$ 261,209,453	63

(1) Includes various other crypto asset balances, none of which individually represented more than 5% of total AOP.

AOP at June 30, 2025 increased as compared to June 30, 2024, primarily reflecting higher Bitcoin AOP, including \$65.7 billion of growth attributable to units and \$97.6 billion of growth attributable to price. Separately, we attribute the growth in USDC AOP primarily to our USDC rewards program, combined with deeper integration of USDC across our products.

Trading Volume

We define Trading Volume as the total U.S. dollar equivalent value of spot matched trades transacted between a buyer and seller through our platform during the period of measurement. Trading Volume does not include derivatives volume on our platform or trades executed on third-party venues. Trading Volume represents the product of the quantity of assets transacted and the trade price at the time the transaction was executed. As trading activity directly impacts transaction revenue, we believe this measure is a reflection of liquidity on our order books, trading health, and the underlying growth of the cryptoeconomy. Institutions incur lower fees per transaction than consumers and, as a result, the impact of changes in consumer Trading Volume on transaction revenue is more pronounced than the impact of changes in institutional Trading Volume.

Generally, Trading Volume on our platform is primarily influenced by overall market dynamics, namely the price of crypto assets, crypto asset volatility, and macroeconomic conditions, and by our share of total crypto market spot trading volume. In periods of high crypto asset prices and crypto asset volatility, we have experienced correspondingly high levels of Trading Volume.

	Three Months Ended June 30,		Change	Six Months Ended June 30,		Change
	2025	2024	%	2025	2024	%
Trading Volume (in billions)						
Consumer	\$ 43	\$ 37	16	\$ 121	\$ 93	30
Institutional	194	189	3	509	445	14
Total Trading Volume	<u>\$ 237</u>	<u>\$ 226</u>	5	<u>\$ 630</u>	<u>\$ 538</u>	17
Trading Volume by crypto asset						
Bitcoin	30%	35%	(14)	28%	34%	(18)
Ethereum	15	15	—	13	14	(7)
USDT	*	10	nm	10	11	(9)
XRP	*	*	nm	10	*	nm
Other crypto assets ⁽¹⁾	55	40	38	39	41	(5)
Total	100%	100%		100%	100%	

nm - not meaningful

*Amount is below the reporting threshold of 10%

(1) Includes various other crypto assets, none of which individually represented more than 10% of our total Trading Volume.

For the three and six months ended June 30, 2025 as compared to 2024, Trading Volume increased reflecting an increase in the total market and changes in our market share in the U.S., where our business is concentrated:

- **Total market** — Crypto Asset Volatility¹ increased 11% and 13% and average total crypto market capitalization increased 29% and 36%. These two macro inputs have historically been highly correlated with Trading Volume and are typically influenced by overall crypto market sentiment, activity in the crypto market, and changes in average crypto asset prices.
- **Market share** — For the three months ended comparative period, Trading Volume growth fell short of the 12% growth in overall U.S. spot market trading volume, as we saw a decrease in market share resulting primarily from lower USDT Trading Volume driven by an intentional pricing change made in March as we evolved our stablecoin strategy. For the six months ended comparative period, our Trading Volume outpaced the 15% growth in the overall U.S. spot market trading volume as we were able to capture a larger portion of the trading activity during the three months ended March 31, 2025.

Results of Operations

The following table presents the Condensed Consolidated Statements of Operations (in thousands), as well as each component as a percentage of total revenue:

	Three Months Ended June 30,				Six Months Ended June 30,			
	2025		2024		2025		2024	
	\$	% ⁽¹⁾	\$	% ⁽¹⁾	\$	% ⁽¹⁾	\$	% ⁽¹⁾
Revenue:								
Net revenue	\$ 1,420,096	95	\$ 1,379,942	95	\$ 3,380,415	96	\$ 2,967,619	96
Other revenue	77,112	5	69,686	5	151,088	4	119,579	4
Total revenue	1,497,208	100	1,449,628	100	3,531,503	100	3,087,198	100
Operating expenses:								
Transaction expense	245,261	16	191,477	13	548,287	16	408,884	13
Technology and development	387,322	26	364,258	25	742,690	21	722,121	23
Sales and marketing	236,245	16	165,262	11	483,528	14	263,847	9
General and administrative	353,707	24	320,115	22	748,053	21	607,351	20
(Gains) losses on crypto assets held for operations, net	(8,702)	(1)	31,016	2	25,663	1	(55,342)	(2)
Other operating expense, net	308,025	21	34,383	2	302,126	9	36,759	1
Total operating expenses	1,521,858	102	1,106,511	76	2,850,347	81	1,983,620	64
Operating (loss) income	(24,650)	(2)	343,117	24	681,156	19	1,103,578	36
Interest expense	20,535	1	20,507	1	41,046	1	39,578	1
(Gains) losses on crypto assets held for investment, net	(362,053)	(24)	319,020	22	234,598	7	(331,409)	(11)
Other (income) expense, net	(1,506,905)	(101)	63,827	4	(1,500,717)	(42)	18,222	1
Income (loss) before income taxes	1,823,773	122	(60,237)	(4)	1,906,229	54	1,377,187	45
Provision for (benefit from) income taxes	394,873	26	(96,387)	(7)	411,721	12	164,792	5
Net income	\$ 1,428,900	95	\$ 36,150	2	\$ 1,494,508	42	\$ 1,212,395	39

(1) Figures presented above may not sum precisely due to rounding.

¹ Crypto Asset Volatility represents our internal measure of crypto asset volatility in the market relative to prior periods. The volatility is based on intraday returns of a volume-weighted basket of all assets listed on our trading platform. These returns are used to compute the basket's intraday volatility which is then scaled to a daily window. These daily volatility values are then averaged over the applicable time period as needed.

Comparison of the three and six months ended June 30, 2025 and 2024

Revenue

For the three and six months ended June 30, 2025, we generated 86% and 85% of total revenue in the U.S. For the three and six months ended June 30, 2024, we generated 85% and 84% of total revenue in the U.S. No other country accounted for more than 10% of total revenue during the periods presented. International revenue comprised mainly transaction revenue in all periods presented.

Transaction revenue

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Consumer, net	\$ 649,908	\$ 664,772	\$ (14,864)	(2)	\$ 1,745,414	\$ 1,599,984	\$ 145,430	9
Institutional, net	60,819	63,624	(2,805)	(4)	159,707	149,016	10,691	7
Other transaction revenue, net	53,543	52,506	1,037	2	121,357	108,643	12,714	12
Total transaction revenue	<u>\$ 764,270</u>	<u>\$ 780,902</u>	<u>\$ (16,632)</u>	<u>(2)</u>	<u>\$ 2,026,478</u>	<u>\$ 1,857,643</u>	<u>\$ 168,835</u>	<u>9</u>

Transaction revenue changed for the three and six months ended June 30, 2025 as compared to 2024, due to:

- changes in consumer transaction revenue driven by:
 - an increase of \$98.8 million and \$465.4 million attributed to a 16% and 30% increase in consumer Trading Volume; offset by
 - a decrease of \$113.7 million and \$319.9 million attributed to a lower average blended fee rate, primarily due to changes in the mix of Trading Volume from Simple to Advanced trading, as well as growth in Trading Volume from Coinbase One users; and
- an increase in institutional transaction revenue for the six months ended comparative period primarily driven by:
 - the impact of 14% growth in institutional Trading Volume; and
 - an increase of \$13.8 million from derivatives trading on our international exchange reflecting growth in trading volume; offset in part by
 - a \$22.2 million decrease due to a lower average blended fee rate resulting primarily from reduced fees at higher Trading Volumes; and
- an increase in other transaction revenue primarily driven by higher revenue from instant transfer withdrawals.

The percentage of transaction revenue from trading on our platform by crypto asset was as follows:

	Three Months Ended June 30,		Change	Six Months Ended June 30,		Change
	2025	2024	%	2025	2024	%
Bitcoin	34%	31%	10	29%	31%	(6)
XRP	13	*	nm	16	*	nm
Ethereum	12	17	(29)	11	15	(27)
Solana	*	10	nm	*	*	nm
Other crypto assets ⁽¹⁾	41	42	(2)	44	54	(19)
Total	<u>100%</u>	<u>100%</u>		<u>100%</u>	<u>100%</u>	

nm - not meaningful

*Amount is below the reporting threshold of 10%

(1) Includes various other crypto assets, none of which individually represented more than 10% of our total transaction revenue.

Subscription and services revenue

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Stablecoin revenue	\$ 332,497	\$ 240,436	\$ 92,061	38	\$ 630,032	\$ 437,753	\$ 192,279	44
Blockchain rewards	144,535	185,139	(40,604)	(22)	341,127	336,068	5,059	2
Interest and finance fee income	59,316	69,400	(10,084)	(15)	122,402	136,063	(13,661)	(10)
Other subscription and services revenue	119,478	104,065	15,413	15	260,376	200,092	60,284	30
Total subscription and services revenue	<u>\$ 655,826</u>	<u>\$ 599,040</u>	<u>\$ 56,786</u>	<u>9</u>	<u>\$ 1,353,937</u>	<u>\$ 1,109,976</u>	<u>\$ 243,961</u>	<u>22</u>

Subscription and services revenue increased for the three and six months ended June 30, 2025 as compared to 2024, reflecting:

- increases in stablecoin revenue of:
 - \$98.1 million and \$203.3 million due to higher average USDC balances held in Coinbase products², on which we earn the vast majority of the interest on the associated reserves; and
 - \$71.4 million and \$139.3 million due to higher average USDC off-platform balances, on which we earn varying percentages depending on where the USDC is held; offset in part by
 - a decrease of \$77.3 million and \$145.8 million due to lower average interest rates, which declined 97 and 96 basis points;
- changes in blockchain rewards, primarily consisting of:
 - a decrease of \$43.5 million and \$23.0 million due to changes in average crypto asset prices; offset in part by
 - an increase of \$14.8 million and \$22.5 million due to higher staked balances;
- lower interest and finance fee income, primarily reflecting a decrease of \$15.2 million and \$26.6 million in interest income on customer custodial cash attributable to lower average earned interest rates, which declined 116 and 103 basis points; and
- an increase in other subscription and services revenue, primarily due to growth of Coinbase One, reflecting a higher number of paid subscribers.

Other revenue

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Corporate interest and other income	\$ 77,112	\$ 69,686	\$ 7,426	11	\$ 151,088	\$ 119,579	\$ 31,509	26
Total other revenue	<u>\$ 77,112</u>	<u>\$ 69,686</u>	<u>\$ 7,426</u>	<u>11</u>	<u>\$ 151,088</u>	<u>\$ 119,579</u>	<u>\$ 31,509</u>	<u>26</u>

Other revenue increased for the three and six months ended June 30, 2025 as compared to 2024, largely reflecting an increase of \$15.8 million and \$51.0 million due to higher average cash and cash equivalents balances, partially offset by lower average interest rates earned on these balances, which declined 105 and 93 basis points.

² Includes corporate USDC balances and USDC held on behalf of customers in eligible Coinbase products.

Operating expenses

Certain prior period amounts have been reclassified to conform to the current period presentation.

Transaction expense

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Blockchain rewards fees	\$ 89,157	\$ 114,400	\$ (25,243)	(22)	\$ 209,178	\$ 219,854	\$ (10,676)	(5)
Transaction rebates and commissions	86,862	15,790	71,072	450	146,447	30,781	115,666	376
Payment processing and account verification	41,332	37,021	4,311	12	105,977	70,129	35,848	51
Transaction reversal losses	20,855	4,428	16,427	371	67,699	24,402	43,297	177
Other	7,055	19,838	(12,783)	(64)	18,986	63,718	(44,732)	(70)
Total transaction expense	<u>\$ 245,261</u>	<u>\$ 191,477</u>	<u>\$ 53,784</u>	<u>28</u>	<u>\$ 548,287</u>	<u>\$ 408,884</u>	<u>\$ 139,403</u>	<u>34</u>

Transaction expense increased for the three and six months ended June 30, 2025 as compared to 2024, reflecting:

- lower blockchain rewards fees, which moved with blockchain rewards revenue, in addition to the impact of adjustments to our fee structures;
- higher transaction rebates and commissions, primarily reflecting an increase in rebates earned by institutional customers providing liquidity on our international exchange, driven by growth in volume;
- an increase in payment processing fees for the six months ended comparative period, due primarily to increased volumes of transactions processed;
- an increase in transaction reversal losses primarily driven by higher transaction volume; and
- a decrease in blockchain transaction fees within other, primarily due to lower average gas and asset prices for Ethereum.

Technology and development

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Personnel-related	\$ 245,817	\$ 252,622	\$ (6,805)	(3)	\$ 478,403	\$ 519,203	\$ (40,800)	(8)
Website hosting and infrastructure	76,336	56,624	19,712	35	143,583	106,497	37,086	35
Amortization, depreciation, and impairment	34,585	36,459	(1,874)	(5)	66,597	62,309	4,288	7
Other	30,584	18,553	12,031	65	54,107	34,112	19,995	59
Total technology and development	<u>\$ 387,322</u>	<u>\$ 364,258</u>	<u>\$ 23,064</u>	<u>6</u>	<u>\$ 742,690</u>	<u>\$ 722,121</u>	<u>\$ 20,569</u>	<u>3</u>

Technology and development expenses increased for the three and six months ended June 30, 2025 as compared to 2024, reflecting:

- a decrease in personnel-related expenses due to lower stock-based compensation expense (see *Note 12. Stock-Based Compensation*) primarily associated with non-recurring awards, offset in part by an increase due to higher average headcount; and
- an increase in website hosting and infrastructure expenses driven by increased activity on our platform.

There were no material changes to note within amortization, depreciation, and impairment or other.

Sales and marketing

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Marketing programs	\$ 90,022	\$ 62,878	\$ 27,144	43	\$ 194,992	\$ 93,337	\$ 101,655	109
USDC rewards	102,521	56,563	45,958	81	202,555	83,125	119,430	144
Personnel-related	32,319	38,358	(6,039)	(16)	65,775	73,850	(8,075)	(11)
Other	11,383	7,463	3,920	53	20,206	13,535	6,671	49
Total sales and marketing	<u>\$ 236,245</u>	<u>\$ 165,262</u>	<u>\$ 70,983</u>	<u>43</u>	<u>\$ 483,528</u>	<u>\$ 263,847</u>	<u>\$ 219,681</u>	<u>83</u>

Sales and marketing expenses increased for the three and six months ended June 30, 2025 as compared to 2024, primarily due to:

- an increase in marketing program expenses largely due to higher digital advertising spend; and
- an increase in USDC rewards payouts primarily reflecting growth in average customer USDC balances held in Coinbase products³.

There were no material changes to note within personnel-related or other.

General and administrative

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Personnel-related	\$ 148,639	\$ 149,588	\$ (949)	(1)	\$ 314,798	\$ 305,901	\$ 8,897	3
Professional services	71,010	46,772	24,238	52	129,186	89,930	39,256	44
Customer support ⁽¹⁾	54,590	29,449	25,141	85	125,045	48,169	76,876	160
Other	79,468	94,306	(14,838)	(16)	179,024	163,351	15,673	10
Total general and administrative	<u>\$ 353,707</u>	<u>\$ 320,115</u>	<u>\$ 33,592</u>	<u>10</u>	<u>\$ 748,053</u>	<u>\$ 607,351</u>	<u>\$ 140,702</u>	<u>23</u>

(1) Excludes personnel-related and professional services expenses.

General and administrative expenses increased for the three and six months ended June 30, 2025 as compared to 2024, primarily due to:

- an increase in professional services due to higher costs of legal advisory services;
- an increase in customer support costs as a result of increased capacity needs. Our capacity needs typically increase in periods following higher Trading Volumes; and
- within other, a decrease of \$31.6 million in legal costs for the six months ended comparative period, with no additional material changes to note.

There were no material changes to note within personnel-related.

³ Comprises USDC held on behalf of customers in eligible Coinbase products.

(Gains) losses on crypto assets held for operations, net

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
(Gains) losses on crypto assets held for operations, net	\$ (8,702)	\$ 31,016	\$ (39,718)	(128)	\$ 25,663	\$ (55,342)	\$ 81,005	(146)

Changes in (gains) losses on crypto assets held for operations, net resulted primarily from holding these assets during periods of increasing and decreasing crypto asset prices, respectively. Though both gross inflows and outflows of these assets were \$0.6 billion and \$0.9 billion during the three and six months ended June 30, 2025, and \$0.8 billion and \$1.1 billion during the same periods in 2024, gains and losses on changes in the fair value of the assets were limited as these assets are converted to cash or used for expenses nearly immediately after receipt.

Other operating expense, net

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Platform-related incidents	\$ 306,654	\$ 32,403	\$ 274,251	846	\$ 307,374	\$ 32,598	\$ 274,776	843
Other	1,371	1,980	(609)	(31)	(5,248)	4,161	(9,409)	(226)
Total other operating expense, net	\$ 308,025	\$ 34,383	\$ 273,642	796	\$ 302,126	\$ 36,759	\$ 265,367	722

Other operating expense, net increased for the three and six months ended June 30, 2025 as compared to 2024, primarily due to losses directly associated with the incident announced on the Current Report on Form 8-K we filed with the SEC on May 15, 2025 (the "Data Theft Incident"), comprising voluntary customer reimbursements and direct legal costs. There were no other material changes to note within other operating expense, net.

Interest expense

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Interest expense	\$ 20,535	\$ 20,507	\$ 28	—	\$ 41,046	\$ 39,578	\$ 1,468	4

There were no material changes to note within Interest expense.

(Gains) losses on crypto assets held for investment, net

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
(Gains) losses on crypto assets held for investment, net	\$ (362,053)	\$ 319,020	\$ (681,073)	(213)	\$ 234,598	\$ (331,409)	\$ 566,007	(171)

Changes in (gains) losses on crypto assets held for investment, net during all periods presented resulted primarily from fair value remeasurement of these assets, mainly Bitcoin and Ethereum. The impact of these changes in fair value expanded late in the first quarter and during the second quarter of 2025, as we actively increased our investment in these assets during these periods.

Other (income) expense, net

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
(Gains) losses on strategic investments, net	\$ (1,472,121)	\$ 13,814	\$ (1,485,935)	nm	\$ (1,475,448)	\$ 14,663	\$ (1,490,111)	nm
(Gains) losses on other financial instruments, net	(17,740)	24,584	(42,324)	(172)	3,943	11,398	(7,455)	(65)
(Gains) losses on crypto asset loan receivables, net	(1,453)	34,010	(35,463)	(104)	1,400	8,484	(7,084)	(83)
Other	(15,591)	(8,581)	(7,010)	82	(30,612)	(16,323)	(14,289)	88
Total other (income) expense, net	\$ (1,506,905)	\$ 63,827	\$ (1,570,732)	nm	\$ (1,500,717)	\$ 18,222	\$ (1,518,939)	nm

nm - not meaningful

Other (income) expense, net changed for the three and six months ended June 30, 2025 as compared to 2024, due primarily to:

- a gain on the fair value remeasurement of our investment in Circle Internet Group, Inc. following its initial public offering in June 2025;
- gains on the fair value remeasurement of certain other crypto asset-denominated financial instruments; and
- losses on the fair value remeasurement of loan receivables originated from our crypto assets held for investment portfolio for the three months ended June 30, 2024, which did not recur in 2025.

There were no material changes to note within other.

Provision for (benefit from) income taxes

(in thousands, except %)	Three Months Ended June 30,		Change		Six Months Ended June 30,		Change	
	2025	2024	\$	%	2025	2024	\$	%
Provision for (benefit from) income taxes	\$ 394,873	\$ (96,387)	\$ 491,260	(510)	\$ 411,721	\$ 164,792	\$ 246,929	150

For the three months ended June 30, 2025 as compared to 2024, the increase in provision for (benefit from) income taxes was primarily due to higher pretax income, and lower tax benefits from stock-based compensation. For the six months ended June 30, 2025 as compared to 2024, the increase in provision for (benefit from) income taxes was primarily due to higher pretax income, and lower tax benefits from stock-based compensation and research and development credits, as well as a valuation allowance on non-U.S. losses for the six months ended June 30, 2025.

On July 4, 2025, the One Big Beautiful Bill Act ("OBBA") was signed into law in the United States. The OBBA includes significant changes to U.S. federal tax law, such as an elective deduction for domestic research and experimental expenditures, and changes to the tax rate on income from non-U.S. sources and subsidiaries. We are evaluating the impact of the OBBA but do not expect it to have a material impact on our effective tax rate and net deferred tax asset balance in 2025.

Non-GAAP Financial Measure

In addition to our results determined in accordance with GAAP, we believe Adjusted EBITDA, a non-GAAP financial performance measure, is useful information to help investors evaluate our operating performance because it: enables investors to compare this measure and component adjustments to similar information provided by peer companies and our past financial performance; provides additional

company-specific adjustments for certain items that may be included in income from operations but that we do not consider to be normal, recurring, operating expenses (or income) necessary to operate our business given our operations, revenue generating activities, business strategy, industry, and regulatory environment; and provides investors with visibility to a measure management uses to evaluate our ongoing operations and for internal planning and forecasting purposes. For example:

- We believe it is useful to exclude certain non-cash expenses, such as depreciation and amortization and stock-based compensation, from Adjusted EBITDA because the amounts of such expenses can vary significantly from period to period and may not directly correlate to the underlying performance of our business operations.
- We believe it is useful to exclude certain items that we do not consider to be normal, recurring, cash operating expenses and therefore, not reflective of our ongoing business operations. For example, we exclude: (i) other (income) expense, net, as the income and expenses recognized in this line item are not part of our core operating activities and are considered non-operating activities under GAAP, (ii) gains and losses on crypto assets held for investment because such investments are considered primarily long-term holdings, and (iii) losses directly related to the Data Theft Incident, including voluntary customer reimbursements, direct legal costs, and reward payments, if any, in connection with the threat actor's arrest and conviction. We do not plan on engaging in regular trading of crypto assets, and, as an operating company, our investing activities in crypto are not part of our revenue generating activities, which are based on transactions on our platform and the sales of subscriptions and services.
- We believe Adjusted EBITDA is useful to measure a company's operating performance without regard to items such as stock-based compensation expense, depreciation and amortization expense, interest expense, other (income) expense, net, and provision for (benefit from) income taxes that can vary substantially from company to company depending upon their financing, capital structures, and the method by which assets were acquired.

Limitations of Adjusted EBITDA

We believe that Adjusted EBITDA may be helpful to investors for the reasons noted above. However, Adjusted EBITDA is presented for supplemental informational purposes only, has limitations as an analytical tool, and should not be considered in isolation or as a substitute for financial information presented in accordance with GAAP. There are a number of limitations related to Adjusted EBITDA rather than net income (loss), which is the nearest GAAP equivalent of Adjusted EBITDA. Some of these limitations are that Adjusted EBITDA excludes:

- provision for (benefit from) income taxes;
- interest expense, or the cash requirements necessary to service interest or principal payments on our debt, which reduces cash available to us;
- depreciation and amortization expense and, although these are non-cash expenses, the assets being depreciated and amortized may have to be replaced in the future;
- stock-based compensation expense, which has been, and will continue to be for the foreseeable future, a significant recurring expense for our business and an important part of our compensation strategy;
- losses directly related to the Data Theft Incident;
- net gains or losses on our crypto assets held for investment; and
- other (income) expense, net, which represents net gains or losses on strategic investments and other financial instruments, and other non-operating income and expense activity.

In addition, other companies, including companies in our industry, may calculate Adjusted EBITDA differently or may use other measures to evaluate their performance, all of which could reduce the

usefulness of our disclosure of Adjusted EBITDA as a tool for comparison. A reconciliation is provided below for Adjusted EBITDA to net income, the most directly comparable financial measure stated in accordance with GAAP. Investors are encouraged to review the related GAAP financial measure and the reconciliation of Adjusted EBITDA to net income, and not to rely on any single financial measure to evaluate our business.

The following table provides a reconciliation of net income to Adjusted EBITDA (in thousands):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Net income	\$ 1,428,900	\$ 36,150	\$ 1,494,508	\$ 1,212,395
Adjusted to exclude the following:				
Provision for (benefit from) income taxes	394,873	(96,387)	411,721	164,792
Interest expense	20,535	20,507	41,046	39,578
Depreciation and amortization	33,901	34,501	67,234	63,828
Stock-based compensation expense	196,160	217,934	386,889	442,438
Data Theft Incident losses	306,654	—	306,654	—
(Gains) losses on crypto assets held for investment, net	(362,053)	319,020	234,598	(331,409)
Other (income) expense, net ⁽¹⁾	(1,506,905)	63,827	(1,500,717)	18,222
Adjusted EBITDA	<u>\$ 512,065</u>	<u>\$ 595,552</u>	<u>\$ 1,441,933</u>	<u>\$ 1,609,844</u>

(1) See Note 13. *Other (Income) Expense, Net* of the Notes to our Condensed Consolidated Financial Statements included in Part I, Item 1 of this Quarterly Report on Form 10-Q for additional details.

Liquidity and Capital Resources

There have been no material changes to our liquidity and capital resources from those presented in the Annual Report, other than those described below.

We continue to believe our existing cash and cash equivalents and USDC will be sufficient in both the short and long term to meet our requirements and plans for cash, including meeting our working capital and capital expenditure requirements. Our ability to meet our requirements and plans for cash, including meeting our working capital and capital expenditure requirements, will depend on many factors, including market acceptance of crypto assets and blockchain technology, our growth, our ability to attract and retain customers on our platform, the continuing market acceptance of our products and services, the introduction of new subscription products and services on our platform, expansion of sales and marketing activities, and overall economic conditions. We anticipate satisfying both our short-term and long-term cash requirements with our existing cash and cash equivalents and USDC and with future cash flows from operations, and potential future equity or debt financing. The sale of additional equity would result in additional dilution to our stockholders. The incurrence of additional debt financing would result in debt service obligations, and the instruments governing such debt could provide for operating and financing covenants that would restrict our operations.

Cash and cash equivalents and USDC

Our cash and cash equivalents and USDC balances consisted of the following (in thousands):

	June 30, 2025	December 31, 2024
Cash and cash equivalents		
Cash equivalents ⁽¹⁾	\$ 5,980,319	\$ 6,607,023
Cash held at financial institutions	1,448,784	1,848,700
Cash held at venues	110,285	88,180
Total cash and cash equivalents	<u>\$ 7,539,388</u>	<u>\$ 8,543,903</u>
USDC⁽²⁾		
USDC not loaned or pledged as collateral	\$ 1,783,627	\$ 743,181
USDC pledged as collateral ⁽³⁾	294,761	329,832
USDC loaned ⁽³⁾	75,436	168,795
Total USDC	<u>\$ 2,153,824</u>	<u>\$ 1,241,808</u>

(1) Cash equivalents consists of money market funds.

(2) USDC is a stablecoin redeemable on a one-to-one basis for U.S. dollars. While not accounted for as cash or cash equivalents, we treat our USDC holdings as a liquidity resource.

(3) USDC pledged as collateral represents assets pledged as collateral against our crypto asset borrowings, which do not meet the criteria for derecognition from our Condensed Consolidated Balance Sheets. USDC loaned represents loaned assets that do not meet the criteria for derecognition from our Condensed Consolidated Balance Sheets. See *Note 4. Collateralized Arrangements and Financing* of the Notes to our Condensed Consolidated Financial Statements included in Part I, Item 1 of this Quarterly Report on Form 10-Q for additional details.

Long-term debt and other contractual obligations

There have been no material changes in our long-term debt since those presented in the Annual Report, except for the reclassification of our 2026 Convertible Notes due on June 1, 2026 from non-current liability to current liability. As of June 30, 2025, our primary contractual obligation remained long-term debt, of which we held \$4.3 billion in aggregate principal amount, including \$1.3 billion due within the next 12 months and classified as a current liability.

Our other contractual obligations increased materially over those as of December 31, 2024, primarily due to entry into office lease, multi-year contract renewal, and business combination agreements. These obligations arise in the normal course of business and represent a material cash requirement. See *Note 10. Other Condensed Consolidated Balance Sheets Details*, for additional details on leases, and *Note 16. Commitments and Contingencies*, for additional details on non-cancelable purchase obligations and the business combination, of the Notes to our Condensed Consolidated Financial Statements included in Part I, Item 1 of this Quarterly Report on Form 10-Q.

Crypto assets

We hold and use crypto assets for various purposes. Crypto assets held for operations are received in the ordinary course of business and are converted to cash or used to fulfill expenses, primarily blockchain rewards, nearly immediately. In order to facilitate Prime Financing, we hold crypto assets we borrow, as well as crypto assets customers pledge as collateral against certain of our loans to them. We do not use these assets as a source of liquidity otherwise. Crypto assets held for investment are primarily long-term holdings and in certain cases fulfill capital requirements set by regulators (see also *Capital requirements* below). We do not plan to engage in regular trading of these crypto assets but may purchase additional crypto assets for investment as a buy and hold strategy. In case of a liquidity stress event, or for other episodic purposes, which may necessitate the use of these assets, we may change our policy and sell crypto assets held for investment to generate liquidity. During times of instability in the crypto assets market, we may not be able to sell our crypto assets at reasonable prices or at all. Our

crypto assets held are considered less liquid than our cash and cash equivalents and may not be able to serve as a source of liquidity for us to the same extent as cash and cash equivalents. As of June 30, 2025, we held the following crypto assets: \$126.0 million held for operations, \$951.3 million held as collateral, \$223.6 million that were borrowed, and \$1.8 billion held for investment.

Customer assets and liabilities

Recognized customer assets and liabilities comprise customer custodial funds and corresponding customer custodial liabilities that represent our obligation to return these assets to the customers. We also securely store additional customer AOP that we do not recognize in our Condensed Consolidated Balance Sheets. We do not use customer crypto assets as collateral for any loan, margin, rehypothecation, or other similar activities to which we or our affiliates are a party, without the customer's consent.

Our business model does not expose us to liquidity risk if we have excessive redemptions or withdrawals from customers. As of June 30, 2025, we have not experienced excessive redemptions or withdrawals, or prolonged suspended redemptions or withdrawals, of crypto assets to date.

Capital requirements

Although currently we are not supervised by any federal banking agency, and our trading platform is not an SEC-regulated national securities exchange or alternative trading system, we operate globally in a complex and rapidly evolving regulatory environment and are subject to a wide range of laws and regulations enacted by U.S. federal, state, and local and foreign governments and regulatory authorities. These rules and regulations govern how we manage our liquidity, operations, and capital structure. Additionally, we and our subsidiaries hold licenses to operate as trust companies, money transmitters, and derivatives exchanges, or equivalents, requiring compliance with strict safeguards for customer funds and crypto assets, as well as capital and net worth requirements. For more information, see Part I, Item 1. "Business—Government Regulations" in the Annual Report as well as Part II, Item 1A. Risk Factors of this Quarterly Report on Form 10-Q.

In certain jurisdictions, we are required to hold eligible liquid assets, as defined by applicable regulatory requirements and commercial law, at a level equal to at least 100% of the aggregate amount of all customer custodial fund liabilities. Eligible liquid assets can include cash, cash equivalents, customer custodial funds, and in-transit customer receivables. As of June 30, 2025 our eligible liquid assets were greater than the aggregate amount of customer custodial fund liabilities.

Additionally, certain of our subsidiaries are subject to regulatory capital requirements that involve quantitative measures of USDC and crypto asset transactions, as well as USDC and crypto assets under custody. As of June 30, 2025, in aggregate, these subsidiaries were compliant with associated capital requirements of approximately \$1.3 billion, which were met by a combination of corporate cash and cash equivalents and certain crypto assets held.

Cash flows

The following table summarizes our Condensed Consolidated Statements of Cash Flows (in thousands):

	Six Months Ended June 30,	
	2025	2024
Net cash provided by operating activities	\$ 145,747	\$ 895,682
Net cash used in investing activities	(916,809)	(144,292)
Net cash (used in) provided by financing activities	(1,284,939)	993,988
Net (decrease) increase in cash, cash equivalents, and restricted cash and cash equivalents	\$ (2,056,001)	\$ 1,745,378
Change in customer custodial cash and cash equivalents	\$ (1,002,312)	\$ (378,019)

Operating activities

Our largest source of cash provided by operating activities are revenues generated from transaction fees. Our primary uses of cash in operating activities include payments to employees for compensation, website hosting and infrastructure services, and professional services.

Net cash provided by operating activities decreased by \$749.9 million for the six months ended June 30, 2025 as compared to 2024 primarily due to:

- a \$454.8 million increase in cash used to purchase USDC, reflecting higher customer demand;
- \$253.4 million in cash used in 2025 related to the Data Theft Incident, for which impacted customers were voluntarily reimbursed; and
- an overall increase in other cash expenses as we continue to grow our business; offset in part by
- cash provided as a result of the \$444.3 million increase in total revenue.

Investing activities

Net cash used in investing activities increased by \$772.5 million for the six months ended June 30, 2025 as compared to 2024 as we invested more of our available cash, including:

- a \$448.7 million increase in cash used for net purchases of crypto assets held for investment; and
- a \$205.9 million increase in cash used for the origination of fiat loans, net of repayments, reflecting higher demand for Prime Financing products.

Financing activities

Net cash used in financing activities increased by \$2.3 billion for the six months ended June 30, 2025 as compared to 2024 primarily due to:

- a \$1.1 billion net decrease in cash provided as the prior year included proceeds from the issuance of our 2030 Convertible Notes less cash paid for associated capped calls; and
- a \$783.2 million decrease in customer custodial funds, as we saw an increase in average customer USDC balances held in Coinbase products, which offer a higher yield.

Critical Accounting Estimates

Our Condensed Consolidated Financial Statements and the related notes included elsewhere in this Quarterly Report on Form 10-Q are prepared in accordance with GAAP. The preparation of our Condensed Consolidated Financial Statements also requires us to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenue, costs, and expenses and related disclosures.

We base our estimates on historical experience and on various other assumptions that we believe to be reasonable under the circumstances. Actual results could differ significantly from our estimates. To the extent that there are differences between our estimates and actual results, our future financial statement presentation, financial condition, operating results, and cash flows will be affected.

There have been no material changes to our critical accounting estimates as compared to the critical accounting estimates disclosed in the Annual Report.

Recent accounting pronouncements

See *Note 2. Summary of Significant Accounting Policies* of the Notes to our Condensed Consolidated Financial Statements included in Part I, Item 1 of this Quarterly Report on Form 10-Q for a discussion about new accounting pronouncements adopted and not yet adopted as of the date of this report.

ITEM 3. QUANTITATIVE AND QUALITATIVE DISCLOSURES ABOUT MARKET RISK

Market risk is the risk to our Condensed Consolidated Financial Statements associated with the effect of changes in market factors, including risks associated with interest rates, foreign currency, derivatives, equity investments, and crypto assets. These assets, liabilities, and equities are held for purposes other than trading. There have been no material changes to our market risk exposures from the information presented in Part II, Item 7A. "Quantitative and Qualitative Disclosures About Market Risk," in our Annual Report on Form 10-K for the year ended December 31, 2024 except for our market risk exposure on our crypto assets held for investment and on our marketable equity securities held within strategic investments.

Market Risk of Crypto Assets

Though the nature of this exposure and the overall implied volatility of the crypto assets underlying this exposure have not changed since December 31, 2024, the number of units we hold and the price of the assets have changed, resulting in a material change in the result of our sensitivity analysis.

Crypto assets held for investment are primarily held long term, and historically, we have not attempted to reduce our market risk exposure associated with these crypto assets. Crypto asset prices have been volatile, as demonstrated by the one year historical volatility of Bitcoin and Ethereum of approximately 50% implied from the annualized standard deviation of daily price returns observed in the past 24 months. A hypothetical 50% increase or decrease in crypto assets prices as of June 30, 2025 and December 31, 2024 would result in a \$919.4 million and \$776.5 million impact, respectively, to the value of our Crypto assets held for investment and would have been recorded as gains or losses in our Condensed Consolidated Statements of Operations. The increase in the hypothetical gains or losses since December 31, 2024 primarily reflects changes in the prices of Bitcoin and Ethereum and an increase in the units of each that we hold, as we increased our investment in crypto assets during the six months ended June 30, 2025, deploying available cash.

Equity Investment Risk

Marketable Equity Securities Risk

We hold marketable equity securities measured and recorded at fair value on a recurring basis, exposing us to risk that the fair value of these securities will decline due to changes in market prices. These marketable equity securities are considered strategic investments primarily held long term, and we have not attempted to reduce our market risk exposure associated with these investments.

As of June 30, 2025, our strategic investments in marketable equity securities were \$1.6 billion. No marketable equity securities were held as of December 31, 2024. Adjustments to the fair value of these investments are recorded in Other (income) expense, net in our Condensed Consolidated Statements of Operations. During the three and six months ended June 30, 2025, we recognized gains of \$1.5 billion on

strategic investments in marketable equity securities, driven primarily by the fair value remeasurement of our investment in Circle Internet Group, Inc. following its initial public offering in June 2025.

Changes in market prices of our strategic investments could materially impact our future results of operations and cash flows, the impact of which is difficult to predict as it depends on market factors that we cannot forecast with reliable accuracy, including due to lack of extended price history for our largest holding as the entity recently entered the public market, and its high price volatility since public debut. In addition, this holding, which comprises nearly all of our marketable equity securities balance at June 30, 2025, is subject to standard post-initial public offering restrictions as to disposition, limiting our flexibility to change strategy with respect to this holding based on changes in market conditions or other circumstances. The restriction ends on the earlier of (i) the date that is the second trading day after the entity publicly announces its earnings for the quarter ending September 30, 2025 and (ii) December 1, 2025. If an adverse 10% fair value remeasurement was applied to our strategic investment marketable equity security holdings as of June 30, 2025, it would result in a \$155.4 million loss within Other (income) expense, net in our Condensed Consolidated Statements of Operations.

ITEM 4. CONTROLS AND PROCEDURES

Evaluation of Disclosure Controls and Procedures

Our disclosure controls and procedures are designed to ensure that information we are required to disclose in reports that we file or submit under the Securities Exchange Act of 1934, as amended (the "Exchange Act"), is recorded, processed, summarized, and reported within the time periods specified in SEC rules and forms, and that such information is accumulated and communicated to our management, including our Chief Executive Officer and Chief Financial Officer, as appropriate, to allow timely decisions regarding required disclosure.

Our management, with the participation and supervision of our Chief Executive Officer (our principal executive officer) and our Chief Financial Officer (our principal financial officer), has evaluated the effectiveness of our disclosure controls and procedures (as defined in Rules 13a-15(e) and 15d-15(e) under the Exchange Act) as of June 30, 2025. Based on such evaluation, our Chief Executive Officer and Chief Financial Officer have concluded that as of June 30, 2025, our disclosure controls and procedures were, in design and operation, effective at a reasonable assurance level.

Changes in Internal Controls Over Financial Reporting

There were no changes to our internal control over financial reporting (as such term is defined in Rules 13a-15(f) and 15d-15(f) under the Exchange Act) that occurred during the most recently completed fiscal quarter that have materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

Inherent Limitations on the Effectiveness of Controls

The effectiveness of any system of internal control over financial reporting, including ours, is subject to inherent limitations, including the exercise of judgment in designing, implementing, operating, and evaluating the controls and procedures, and the inability to eliminate misconduct completely. Accordingly, in designing and evaluating the disclosure controls and procedures, management recognizes that any system of internal control over financial reporting, including ours, no matter how well designed and operated, can only provide reasonable, not absolute assurance of achieving the desired control objectives. In addition, the design of disclosure controls and procedures must reflect the fact that there are resource constraints and that management is required to apply its judgment in evaluating the benefits of possible controls and procedures relative to their costs. Moreover, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate. We intend to continue to monitor and upgrade our internal controls as necessary or appropriate for our